

In the opinion of Modrall, Sperling, Roehl, Harris & Sisk, P.A., Bond Counsel, based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Series 2025B Bonds (as defined below) is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986 (the “Code”). In the further opinion of Bond Counsel, interest on the Series 2025B Bonds is not a specific preference item for purposes of the federal alternative minimum tax; however, interest on the Series 2025B Bonds is included in the “adjusted financial statement income” of certain corporations that are subject to the alternative minimum tax under Section 55 of the Code. Bond Counsel is also of the opinion based on existing laws of the State of New Mexico as enacted and construed that interest on the Series 2025B Bonds is exempt from all taxation by the State of New Mexico or any political subdivision thereof. Bond Counsel expresses no opinion regarding any other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Series 2025B Bonds. See “TAX MATTERS” herein.

ALBUQUERQUE MUNICIPAL SCHOOL DISTRICT NO. 12
Bernalillo and Sandoval Counties, New Mexico
\$46,220,000
General Obligation Refunding Bonds
Series 2025B

Dated: Date of Delivery

Due: August 1, as shown on inside cover

The Albuquerque Municipal School District No. 12, Bernalillo and Sandoval Counties, New Mexico, General Obligation Refunding Bonds, Series 2025B (the “Series 2025B Bonds”) are being issued as fully registered bonds to be sold in denominations of \$5,000 or any integral multiple thereof. The Depository Trust Company New York, New York (“DTC”) will act as securities depository for the Series 2025B Bonds through its nominee, Cede & Co. One fully registered bond equal to the principal amount of each maturity of each series of the Series 2025B Bonds will be registered in the name of Cede & Co. Individual purchases of Series 2025B Bonds will be made in book-entry form only and beneficial owners of the Series 2025B Bonds will not receive physical delivery of bond certificates, except as described herein. Upon receipt of payments of principal and interest, DTC will remit such payments to its participants for subsequent disbursement to the beneficial owners of the Series 2025B Bonds.

Principal of and interest on the Series 2025B Bonds will be payable to DTC, or its nominee, as owner of the Series 2025B Bonds, by BOKF, NA, as Paying Agent and Registrar for the Series 2025B Bonds. Interest on the Series 2025B Bonds will be payable semi-annually on each February 1 and August 1, commencing February 1, 2026 until maturity.

See Inside Cover Page for Maturity Dates, Principal Amounts, Interest Rates or Yields and CUSIPs.

The 2025B Bonds will not be subject to optional redemption prior to maturity.

As more specifically described herein, the Series 2025B Bonds are being issued for the purposes of (i) refunding certain outstanding general obligation bonds of the District as set forth in Schedule I attached hereto, and (ii) paying expenses related to the issuance of the Series 2025B Bonds.

The Series 2025B Bonds constitute general obligation indebtedness of the District, payable from property taxes levied against all taxable property in the District, without limitation of rate or amount, and the full faith and credit of the District is pledged for the payment of the Series 2025B Bonds.

In connection with the issuance of the Series 2025B Bonds, the District will commit to provide certain annual information and notice of certain events as described herein under the caption “CONTINUING DISCLOSURE UNDERTAKING.”

This Cover Page, including the inside cover page, contains information for convenient and quick reference only. It is not a summary of this Official Statement. Investors must read this entire Official Statement to obtain information essential and material to the making of an informed investment decision.

Certain legal matters will be passed on by Modrall, Sperling, Roehl, Harris & Sisk, P.A., Albuquerque, New Mexico, as Bond Counsel. Certain legal matters will also be passed on for the District by Taft Stettinius & Hollister LLP, Albuquerque, New Mexico, as Disclosure Counsel to the District. The Underwriters are being represented by McCall, Parkhurst & Horton L.L.P., Dallas, Texas. RBC Capital Markets, LLC, Albuquerque, New Mexico, serves as Municipal Advisor to the District. It is expected that the Series 2025B Bonds will be available for delivery through the facilities of DTC on or about August 19, 2025 (the “Date of Delivery”).

STIFEL

Jefferies

Official Statement dated July 22, 2025

MATURITY SCHEDULE

ALBUQUERQUE MUNICIPAL SCHOOL DISTRICT NO. 12 Bernalillo and Sandoval Counties, New Mexico

(CUSIP® 6-digit issuer number: 013595)

\$46,220,000
General Obligation Refunding Bonds
Series 2025B

Maturity Date (August 1)	Principal Amount	Interest Rate	Price or Yield	CUSIP® Suffix
2026	\$5,515,000	5.000%	2.550%	A52
2027	5,355,000	5.000	2.600	A60
2028	11,625,000	5.000	2.610	A78
2029	11,715,000	5.000	2.660	A86
2030	12,010,000	5.000	2.770	A94

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ALBUQUERQUE MUNICIPAL SCHOOL DISTRICT NO. 12
Bernalillo and Sandoval Counties, New Mexico

BOARD OF EDUCATION

Danielle Gonzales, President	District 3
Courtney I. Jackson, Vice President	District 7
Janelle Astorga, Secretary	District 1
Josefina E. Dominguez	District 6
Ronalda Tome-Warito	District 2
Crystal Tapia-Romero	District 5
Heather Benavidez	District 4

ADMINISTRATION

Dr. Gabriella Blakey, Superintendent
Rennette Apodaca, MPA, CPPO, Chief Financial Officer
Gabe Jacques, Deputy Superintendent of Operations
John Dufay, Assistant Deputy of Operations

BOND COUNSEL

Modrall, Sperling, Roehl, Harris & Sisk, P.A., Albuquerque, New Mexico

DISCLOSURE COUNSEL

Taft Stettinius & Hollister LLP, Albuquerque, New Mexico

PAYING AGENT/REGISTRAR

BOKF, NA, Albuquerque, New Mexico

MUNICIPAL ADVISOR

RBC Capital Markets, LLC, Albuquerque, New Mexico

UNDERWRITERS

Stifel, Nicolaus & Company, Incorporated, Albuquerque, New Mexico
Jefferies LLC, San Antonio, Texas

No dealer, salesperson or other person has been authorized by Albuquerque Municipal School District No. 12, Bernalillo and Sandoval Counties, New Mexico (the “District”) to give any information or to make any statements or representations, other than those contained in this Official Statement, and, if given or made, such other information, statements or representations must not be relied upon as having been authorized. This Official Statement does not constitute an offer to sell or solicitation of an offer to buy any of the Series 2025B Bonds in any jurisdiction in which such offer or solicitation is not authorized, or in which any person making such offer or solicitation is not qualified to do so, or to any person to whom it is unlawful to make such offer or solicitation in such jurisdiction. This Official Statement contains, in part, estimates and matters of opinion that are not intended as statements of fact, and no representation or warranty is made as to the correctness of such estimates and opinions or that they will be realized.

The information contained in this Official Statement has been obtained from the District and other sources which are deemed to be reliable. The Underwriters have reviewed the information in this Official Statement in accordance with, and as part of, their respective responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or completeness of such information. The information in this Official Statement is subject to change without notice, and neither the delivery of this Official Statement nor any sale hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District or others since the date hereof.

This Official Statement contains statements relating to future results that are “forward-looking statements” as defined in the Private Securities Litigation Reform Act of 1995, as amended. When used in this Official Statement, the words “estimate,” “anticipate,” “forecast,” “project,” “intend,” “propose,” “plan,” “expect” and similar expressions identify forward-looking statements. Any forward-looking statement is subject to uncertainty and risks that could cause actual results to differ, possibly materially, from those contemplated in such forward-looking statements. Inevitably, some assumptions used to develop forward-looking statements will not be realized or unanticipated events and circumstances may occur. Therefore, investors should be aware that there are likely to be differences between forward-looking statements and actual results; those differences could be material.

The Series 2025B Bonds have not been registered under the Securities Act of 1933, as amended, in reliance upon exemptions contained in such Act, nor have the Series 2025B Bonds been registered or qualified in any state. Neither the SEC nor any other federal, state, municipal or other governmental entity, nor any agency or department thereof, has passed upon the merits of the Series 2025B Bonds or the accuracy or completeness of this Official Statement. Any representation to the contrary may be a criminal offense.

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OFFICIAL STATEMENT

ALBUQUERQUE MUNICIPAL SCHOOL DISTRICT NO. 12 Bernalillo and Sandoval Counties, New Mexico

\$46,220,000
General Obligation Refunding Bonds
Series 2025B

INTRODUCTION

Generally

This Official Statement, which includes the cover page, Schedule I and appendices hereto, provides certain information in connection with the offer and sale by the Albuquerque Municipal School District No. 12, Bernalillo and Sandoval Counties, New Mexico (the “District”) of its General Obligation Refunding Bonds, Series 2025B in the original aggregate principal amount of \$46,220,000 (the “Series 2025B Bonds”). On April 16, 2025, the District’s Board of Education (the “Board”) delegated, pursuant to a Delegation of Authority Resolution (the “Delegation Resolution”) permitted by Section 6-14-10.2, NMSA 1978, pricing of the Series 2025B Bonds and certain other matters to the District’s Superintendent and Chief Financial Officer, who will approve the final terms of the Series 2025B Bonds set forth in the Pricing Certificate (together with the Delegation Resolution, the “Bond Resolution”).

This introduction is not a summary of this Official Statement. It is only a brief description of and guide to, and is qualified by, more complete and detailed information contained in the entire Official Statement, including the cover page, Schedule I and appendices hereto, and the documents summarized or described herein. A full review should be made of the entire Official Statement. The offering of Series 2025B Bonds to potential investors is made only by means of the entire Official Statement.

The District

The District is a political subdivision of the State of New Mexico (the “State”) organized for the purpose of operating and maintaining an educational program for the school-age children residing within its boundaries. The District encompasses almost all of Bernalillo County and a portion of Sandoval County (the “Counties”). Both Counties are centrally located in New Mexico. The District’s boundaries encompass all of the City of Albuquerque and the Villages of Tijeras, Los Ranchos and Corrales. The District’s 2024 assessed valuation is \$21,888,177,219. The District had an enrollment of 65,761 students for the 2024-25 school year based on the 80/120 day average count. There are 29 charter schools operating within the District’s boundaries with 8,843 students attending in the 2024-25 school year based on the 80/120 day average count. The District’s powers are subject to regulations adopted by the New Mexico Public Education Department (“PED”). See “THE DISTRICT.” For financial and other information concerning the District, see Appendix B – “ECONOMIC, DEMOGRAPHIC AND FINANCIAL INFORMATION.” The District’s Fiscal Year ends June 30 and is referred to in this Official Statement as the “Fiscal Year.”

Purpose of the Series 2025B Bonds

Proceeds from the sale of the Series 2025B Bonds will be used to finance the cost of (i) refunding, and refinancing the District’s General Obligation School Building Bonds, Series 2015 (the “Series 2015 Bonds”) maturing on and after August 1, 2026 (the “Refunding Project”) on the Date of Delivery of the Series 2025B Bonds, and (ii) paying expenses related to issuance of the Series 2025B Bonds. See “PLAN OF FINANCING – The Refunding Project.”

Authority for Issuance

The Series 2025B Bonds are being issued under the authority of and pursuant to the Constitution and laws of the State, including Sections 22-18-1 through 22-18-13 NMSA 1978, Sections 6-14-9 and 6-14-10.2 NMSA 1978 and Sections 6-15-3 through 6-15-13 NMSA 1978, as amended, and all enactments of the District Board relating to the issuance of the Series 2025B Bonds, including the Bond Resolution.

Sources of Payment for the Series 2025B Bonds

The Series 2025B Bonds are general obligations of the District and payable from ad valorem taxes that are levied against all taxable property within the District without limitation as to rate or amount. Neither the State nor the Counties have any responsibility to pay the debt service on the Series 2025B Bonds. See “SECURITY AND SOURCES OF PAYMENT.”

The Series 2025B Bonds are additionally secured by the New Mexico School District Enhancement Program as discussed in more detail under “SECURITY AND SOURCES OF PAYMENT – New Mexico School District Enhancement Program” herein.

Terms of the Series 2025B Bonds

Payments

The Series 2025B Bonds will be dated their date of initial delivery to the Underwriters. Interest on the Series 2025B Bonds is payable on February 1 and August 1, commencing February 1, 2026 until maturity. The Series 2025B Bonds will be issued in the aggregate principal amounts and will mature on the dates and in the amounts shown on the inside cover page of this Official Statement. Payments on the Series 2025B Bonds will be made by BOKF, NA, as the initial Paying Agent and Registrar for the Series 2025B Bonds (the “Paying Agent/Registrar”).

Denominations

The Series 2025B Bonds are issuable in denominations of \$5,000 or integral multiples thereof.

Book-Entry System

Individual purchases will be made in book-entry form only and purchasers of the Series 2025B Bonds will not receive physical delivery of bond certificates except as more fully described herein. Payments of principal of and interest on the Series 2025B Bonds will be made directly to The Depository Trust Company, New York, New York (“DTC”) or its nominee, Cede & Co., by the Paying Agent/Registrar, so long as DTC or Cede & Co. is the sole registered owner. Upon receipt of such payments, DTC is to remit such payments to DTC participants for subsequent disbursement to the beneficial owners of the Series 2025B Bonds, all as more fully described in Appendix E – “BOOK-ENTRY ONLY SYSTEM.”

In reading this Official Statement, it should be understood that while the Series 2025B Bonds are in book-entry only form, references in other sections of this Official Statement to owners of the Series 2025B Bonds should be read to include the person for whom the Participant (as hereinafter defined) and indirect participants acquire an interest in the Series 2025B Bonds, but (i) all rights of ownership must be exercised through DTC and the book-entry only system as described more fully herein, and (ii) notices that are to be given to owners by the District or the Paying Agent/Registrar will be given only to DTC.

No Redemption of Series 2025B Bonds

The Series 2025B Bonds are not subject to optional redemption prior to maturity.

Commitment to Provide Continuing Disclosure

The District will agree for the benefit of the owners of the Series 2025B Bonds that, so long as the Series 2025B Bonds remain outstanding, the District will provide its annual audited financial statements and certain other financial information and operating data with the Municipal Securities Rulemaking Board (“MSRB”) using its Electronic Municipal Market Access System (“EMMA”) in conformity with Rule 15c2-12 of the United States Securities and Exchange Commission (the “Rule”), and will file notice of certain specific events with the MSRB, or as otherwise requested by the MSRB, as described in “CONTINUING DISCLOSURE UNDERTAKING” and Appendix D hereto.

Risk Factors

Climate Change and Natural Disasters

The State could experience, and is susceptible to additional, weather events and natural disasters that could be deemed extreme including, without limitation, periods of heat, droughts, floods, mud slides, tornadoes and other wind conditions and wildfires, which could result in negative economic impacts on the State and the District. Such effects may be exacerbated by a longer term shift in the climate over several decades, commonly referred to as climate change. Numerous scientific studies on climate change show that, among other effects on the global ecosystem, extreme temperatures may become more common, and extreme weather events may become more frequent as a result of increasing global temperatures attributable to atmospheric pollution. As a result, the District could lose tax revenues and many residents, businesses, and governmental operations could be displaced. Additionally, climate change concerns have led, and may continue to lead, to new laws and regulations at the federal and state levels (including but not limited to air, water, hazardous substances and waste regulations) that could have a material adverse effect on the operations and/or financial condition of the District. The District cannot predict the occurrence or extent of any future extreme weather events or natural disasters or the economic impacts that the occurrence of any such events may have on the State or the District.

Cybersecurity Risks

The District, like other public and private entities, relies on computer and other digital networks and systems to conduct its operations. As a recipient and provider of personal, private or other electronic sensitive information, the District may be the subject of cyber threats including, but not limited to, hacking, viruses, malware and other attacks on computer and other sensitive digital networks and systems. Entities or individuals may attempt to gain unauthorized remote access to the District’s systems for the purposes of misappropriating assets or information or causing operational disruption or damage, or demanding ransom for restored access to files or information. No assurance can be given that the District’s current efforts to manage cyber threats and security will, in all cases, be successful. The District cannot predict what future cyber security events may occur and what impact said events could have on its operations or finances.

The District relies on other entities and service providers in the course of operating the District, including the Counties with respect to the levy and collection of ad valorem property taxes, as well as other trustees, fiscal agents and dissemination agents. No assurance can be given that future cyber threats and attacks against other third-party entities or service providers will not impact the District and the owners of the Series 2025B Bonds, including the possibility of impacting the timely payments of debt service of the Series 2025B Bonds or timely filings pursuant to the Continuing Disclosure Undertaking.

Public Health Emergencies

Regional, national or global public health emergencies could have materially adverse regional, national or global economic and social impacts causing, among other things, the promulgation of local or state orders limiting certain activities, extreme fluctuations in financial markets and contraction in available liquidity, prohibitions of gatherings and public meetings in such places as entertainment venues, extensive job losses and declines in business activity across important sectors of the economy, impacts on supply chain and availability of resources, declines in business and consumer confidence that negatively impact economic conditions or cause an economic recession. The District cannot predict the extent to which its operations or financial condition may decline nor the amount of increased costs, if any, that may be incurred by the District associated with operating during any public health emergencies, including, but not limited to, the amount of (1) costs to clean, sanitize and maintain its facilities, (2) costs to hire substitute employees, (3) costs to acquire supporting goods and services, or (4) costs to operate remotely and support the employees of the District. Accordingly, the District cannot predict the effect any public health emergencies will have on the finances or operations of the District or whether any such effects will have a material adverse effect on its ability to pay debt service on the Series 2025B Bonds.

Constitutional Amendments Impacting Property Exemptions

Voters approved two Constitutional Amendments in November 2024 expanding existing property exemptions related to veterans which could have an impact of the assessed value within the District. The economic impact of the two Constitutional Amendments on the District cannot be predicted at this time. See PROPERTY TAXES – Property Subject to Taxation and Recent Property Tax Amendments.

Forward-Looking Statements

This Official Statement contains statements relating to future results that are “forward-looking statements” as defined in the Private Securities Litigation Reform Act of 1995, as amended. When used in this Official Statement, the words “estimate,” “anticipate,” “forecast,” “project,” “intend,” “propose,” “plan,” “expect” and similar expressions identify forward-looking statements. Such statements are subject to risks and uncertainties that could cause actual results to differ materially from those contemplated in such forward-looking statements. Any forecast is subject to such uncertainties. Inevitably, some assumptions used to develop the forecasts will not be realized and unanticipated events and circumstances may occur. Therefore, there are likely to be differences between forecasts and actual results, and those differences may be material.

Professionals Involved in the Offering

At the time of the issuance and sale of the Series 2025B Bonds, Modrall, Sperling, Roehl, Harris & Sisk, P.A., Albuquerque, New Mexico, as Bond Counsel, will deliver a bond opinion with respect to each series of the Series 2025B Bonds, the form of which is included in Appendix C hereto. Certain legal matters will be passed upon for the District by Taft Stettinius & Hollister LLP, Albuquerque, New Mexico, as Disclosure Counsel. The Underwriters (defined below) are being represented in connection with their purchase of the Series 2025B Bonds by McCall, Parkhurst & Horton L.L.P., Dallas, Texas. See “LEGAL MATTERS.”

RBC Capital Markets, LLC, Albuquerque, New Mexico (“RBCCM”) is employed as Municipal Advisor to the District in connection with the issuance of the Series 2025B Bonds. The Municipal Advisor’s fee for services rendered with respect to the sale of the Series 2025B Bonds is contingent upon the issuance and delivery of the Series 2025B Bonds. RBCCM, in its capacity as Municipal Advisor, has not verified and does not assume any responsibility for the possible impact of any present, pending or future actions

taken by any legislative or judicial bodies. The Municipal Advisor is not obligated to undertake, and has not undertaken to make, an independent verification of, or assume responsibility for, the accuracy, completeness, or fairness of the information in this Official Statement.

Offering and Delivery of the Series 2025B Bonds

The Series 2025B Bonds are offered when, as and if issued, subject to approval as to their legality by Bond Counsel and the satisfaction of certain other conditions. The Series 2025B Bonds will be distributed in the initial offering by Stifel, Nicolaus & Company, Incorporated and Jefferies LLC (collectively, the “Underwriters”), for which Stifel, Nicolaus & Company, Incorporated is acting as the senior managing underwriter and representative of the Underwriters. See “UNDERWRITING.” It is anticipated that a single certificate for each maturity of the Series 2025B Bonds will be available for delivery through the facilities of DTC on or about the Date of Delivery.

Other Information

This Official Statement speaks only as of its date, and the information contained herein is subject to change.

The quotations from, and summaries and explanations of, the statutes, regulations and documents contained herein do not purport to be complete and reference is made to said laws, regulations and documents for full and complete statements of their provisions. Copies, in reasonable quantity, of such laws, regulations and documents may be obtained during the offering period, upon request to the District and upon payment to the District of a charge for copying, mailing and handling, at P.O. Box 25704 (87125), 6400 Uptown Boulevard NE, Suite 305E, Albuquerque, New Mexico 87110, Attention: Chief Financial Officer.

Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and not as representations of fact. This Official Statement is not to be construed as a contract or agreement between the District and the purchasers or owners of any of the Series 2025B Bonds.

PLAN OF FINANCING

Sources and Uses of Funds

The sources and uses of funds to be available in connection with the sale of the Series 2025B Bonds are set forth below.

SOURCES OF FUNDS:

	<u>Series 2025B Bonds</u>
Par Amount	\$46,220,000.00
Reoffering Premium	<u>3,404,268.35</u>
TOTAL SOURCES OF FUNDS	<u>\$49,624,268.35</u>

USES OF FUNDS:

Refunding Escrow Deposit	\$49,204,200.00
Underwriters' Discount ⁽¹⁾	136,387.94
Costs of Issuance ⁽²⁾	<u>283,680.41</u>
TOTAL USES OF FUNDS.....	<u>\$49,624,268.35</u>

(1) See "UNDERWRITING."

(2) The costs of issuance of the Series 2025B Bonds include legal and accounting fees, printing, paying agent, rating fees and other miscellaneous costs.

The Refunding Project

Proceeds from the sale of the Series 2025B Bonds will be used to finance the Refunding Project described in Schedule I and under "INTRODUCTION – Purpose of the Series 2025B Bonds" and to pay costs of issuance for the Series 2025B Bonds.

The specific principal amount of each maturity of the Series 2015 Bonds to be refunded (the "Refunded Series 2015 Bonds") will be determined by the District at the time the District and the Underwriters execute the Bond Purchase Agreement (as defined herein under "UNDERWRITING"). The refunding of the Refunded Series 2015 Bonds is subject to market conditions, and such bonds will only be refunded if such refunding results in acceptable debt service savings to the District.

ANNUAL DEBT SERVICE REQUIREMENTS

Series 2025B Bonds

<u>Calendar Year</u>	<u>Principal</u>	<u>Interest</u>	<u>Total Debt Service</u>
2026	\$5,515,000	\$2,195,450	\$7,710,450
2027	5,355,000	2,035,250	7,390,250
2028	11,625,000	1,767,500	13,392,500
2029	11,715,000	1,186,250	12,901,250
2030	12,010,000	600,500	12,610,500
Total	<u>\$46,220,000</u>	<u>\$7,784,950</u>	<u>\$54,004,950</u>

Source: Municipal Advisor.

THE SERIES 2025B BONDS

Generally

The Series 2025B Bonds will bear interest at the rates and mature on the dates set forth on the inside cover page of this Official Statement. Interest will be calculated on the basis of a 360-day year consisting of twelve 30-day months. The Series 2025B Bonds will be dated their date of initial delivery to the Underwriters and will bear interest from that date payable semi-annually on February 1 and August 1 of each year, commencing February 1, 2026 (each an “Interest Payment Date”) until maturity. The Series 2025B Bonds will bear interest from the most recent date to which interest has been paid or provided, or if no interest has been paid or provided for, from their date until maturity.

The Series 2025B Bonds will be issued in denominations of \$5,000 or integral multiples thereof, will be issued in fully registered form and, when issued, will be registered in the name of Cede & Co., as registered owner and nominee of DTC. DTC will act as securities depository for the Series 2025B Bonds. Individual purchases may be made in book-entry form only. Purchasers will not receive certificates representing their interest in the Series 2025B Bonds purchased. So long as Cede & Co., as nominee of DTC, is the registered owner of the Series 2025B Bonds, references herein to the bondholders, owners or registered owners shall mean Cede & Co. and shall not mean the beneficial owners of the Series 2025B Bonds.

So long as Cede & Co. is the registered owner of the Series 2025B Bonds, principal of and interest on the Series 2025B Bonds are payable by wire transfer by the Paying Agent/Registrar (defined below) to Cede & Co., as nominee for DTC, which is required, in turn, to remit such amounts to the DTC Participants. See Appendix E – “BOOK-ENTRY ONLY SYSTEM.”

Paying Agent/Registrar

BOKF, NA, Albuquerque, New Mexico, will serve as Paying Agent/Registrar for the Series 2025B Bonds. In the Bond Resolution the District covenants to provide a Paying Agent/Registrar at all times until the Series 2025B Bonds mature or are fully redeemed prior to maturity, and any Paying Agent/Registrar selected by the District shall be a commercial bank, a trust company, a financial institution or any other entity, as provided by State law, duly qualified and legally authorized to serve and perform the duties of the Paying Agent/Registrar. The registration books for the Series 2025B Bonds will be maintained by the Paying Agent/Registrar containing the names and addresses of the registered owners of the Series 2025B Bonds. In the Bond Resolution, the District retains the right to replace the Paying Agent/Registrar. If the Paying Agent/Registrar is replaced by the District, such Paying Agent/Registrar, promptly upon the appointment of a successor, is required to deliver the registration books to the successor paying agent/registrar. In the event there is a change in the Paying Agent/Registrar for the Series 2025B Bonds the District has agreed to notify each registered owner of the Series 2025B Bonds affected by the change by United States mail, first-class postage prepaid, at the address in the registration books, stating the effective date of the change and the mailing address of the successor Paying Agent/Registrar.

Record Date

The Record Date for the Series 2025B Bonds with respect to any interest payment date is the fifteenth day of the month (whether or not a business day) immediately preceding the interest payment date. The person in whose name any Series 2025 Bond is registered on any Record Date with respect to any interest payment date shall be entitled to receive the interest payable hereon on such interest payment date notwithstanding any transfer or exchange thereof subsequent to such Record Date and prior to such interest payment date.

No Optional Redemption Prior to Maturity

The Series 2025B Bonds are not subject to optional redemption prior to maturity.

SECURITY AND SOURCES OF PAYMENT

General Obligation Pledge

The Series 2025B Bonds constitute general obligation debt of the District. The primary security for the general obligation debt of the District, including the Series 2025B Bonds, is the District's levy, pursuant to constitutional and statutory requirements, of an ad valorem tax, unlimited as to rate or amount, on all real property in the District subject to ad valorem taxation. See "Tax Levies" under this caption. The tax levy is required to be in an amount sufficient to pay the principal of and interest on the Series 2025B Bonds when due, subject to the provisions of laws affecting creditors' rights.

In addition to the basic ad valorem property tax security described above, the District is pledging the full faith and credit of the District for the payment of the principal of and interest on the Series 2025B Bonds when due. Included in such pledge are all funds of the District, except those specifically limited to another use or prohibited from use for such debt service by the State Constitution, state or federal law or District resolutions pledging funds for payment of revenue bonds. The Series 2025B Bonds are additionally secured by the New Mexico School District Enhancement Program described below.

Tax Levies

Pursuant to the Bond Resolution, in order to pay the principal of and interest on the Series 2025B Bonds when due and, at the option of the District, to reimburse the General Fund or other funds advanced for the payment of principal of or interest on the Series 2025B Bonds for which property taxes were not available, there is to be an annual assessment and levy upon all of the taxable property of the District subject to taxation which provides an amount sufficient to pay the principal of and the interest on the Series 2025B Bonds when due.

The taxes are assessed, levied and collected annually. The District Board is required by the Bond Resolution to take all reasonable action to ensure the levy and collection of taxes in amounts sufficient at the time to pay the principal of and interest on the Series 2025B Bonds. The money generated by the levy of taxes provided in the Bond Resolution to pay the principal of and interest on the Series 2025B Bonds is to be appropriated for that purpose and included in the annual budget and the appropriation bills adopted and passed by the District Board each year. The taxes collected are to be applied only to the payment of the principal of and interest on the Series 2025B Bonds when due and as otherwise required by law. To the extent property taxes are not available for the purpose, the principal of and interest accruing on the Series 2025B Bonds are to be paid from the District's General Fund or from any other fund lawfully available for that purpose.

Additional General Obligation Indebtedness

The State Constitution limits the aggregate amount of general obligation indebtedness of the District to 6% of the assessed value of taxable property within the District as shown by the last preceding general assessment. For a description of the indebtedness of the District currently outstanding, see "DEBT AND OTHER FINANCIAL OBLIGATIONS" and "OUTSTANDING DEBT."

New Mexico School District Enhancement Program

The New Mexico legislature amended NMSA 1978, Section 22-18-1 et. seq. in the first session of 2003 by adding Section 22-18-13 which became effective July 1, 2003. Section 22-18-13 was further amended in 2007 and provides that, if a school district indicates that it will not make the payment by the date on which it is due, the New Mexico Department of Finance and Administration (“DFA”) shall forward the amount in immediately available funds necessary to make the payment due on the bonds to the paying agent from the current fiscal year’s undistributed State Equalization Guarantee (“SEG”) distribution to that school district and, if not otherwise repaid by the school district from other legally available funds, withhold the distributions from the school district until the amount has been recouped by the DFA, provided that, if the amount of the undistributed SEG distribution in the current fiscal year is less than the payment due on the bond, the DFA shall:

(1) forward in immediately available funds to the paying agent an amount equal to the total amount of the school district’s undistributed SEG distribution and, if not otherwise repaid by the school district from other legally available funds, withhold all distributions to the school district for the remainder of the fiscal year; and

(2) on July 1 of the following fiscal year, forward in immediately available funds an amount equal to the remaining amount due to the paying agent from that year’s SEG distribution and, if not otherwise repaid by the school district from other legally available funds, withhold an equal amount from the distribution to the school district until the amount paid has been recouped in full.

This provision applies to all New Mexico school districts.

Withholding of the SEG distribution may affect the District’s ability to continue to operate.

The New Mexico School District Enhancement Program was initially put on watch list for possible downgrade on May 15, 2007 after the state adopted new legislation that altered the mechanics of the program. After a review of the law and policies regarding the implementation of the law, program ratings were bifurcated, with one rating applying to bonds issued prior to the March 30, 2007 effective date of the legislation and a second rating applying to bonds issued on or after the March 30, 2007 effective date. Under the new law, the State cannot immediately advance more than the remaining undistributed SEG payments for the fiscal year of default. As a result, those districts with principal and interest payments that fall in the latter part of the fiscal year or that are significant in amount relative to the district’s total annual SEG distribution may not have sufficient undistributed SEG payments to cover debt service payments in the event of a default.

Moody’s downgraded the New Mexico School District Enhancement Program (Pre- and Post-Default) to Aa2 from Aa1 and assigned a negative outlook on November 1, 2016. On June 19, 2018, Moody’s further downgraded the enhancement rating from Aa2 to Aa3 and assigned a stable outlook.

Section 22-18-13 requires filing the bond resolution, bond offering documents and contact information for the relevant paying agent with the DFA. Failure to file such information will not invalidate the obligation of the State Treasurer to pay the bond payment and withhold the State Equalization Guaranteed distribution.

The District has qualified the Series 2025B Bonds under the New Mexico School District Enhancement Program, however, the District did not seek a rating from Moody’s in connection therewith.

PROPERTY TAXES

Analysis of Assessed Valuation

Assessed Valuation of property within the District is calculated as follows: Of the total estimated actual valuation of all taxable property in the District, 33-1/3% is legally subject to ad valorem taxes. After deduction of certain personal exemptions, the 2024 assessed valuation is \$21,888,177,219. The actual value of personal property within the District (see “Assessments” below) is determined by the County Assessor. The actual value of certain property within the District (see “Centrally Assessed” below) is determined by the State of New Mexico, Taxation and Revenue Department, Property Tax Division. The analysis of Assessed Valuation follows.

Table 1
Analysis of Assessed Valuation

	<u>2020</u>	<u>2021</u>	<u>2022</u>	<u>2023</u>	<u>2024</u>
Assessments					
Value of Land	\$6,421,798,054	\$6,534,046,339	\$6,638,993,820	\$6,856,716,382	\$7,010,209,859
Improvements	14,206,548,231	14,876,317,528	15,664,291,676	16,604,163,408	17,681,069,424
Personal Property	526,355,037	523,730,371	658,490,368	723,622,619	756,337,843
Mobile Homes	44,579,888	45,478,745	46,020,962	50,100,497	52,586,765
Livestock	1,132,983	1,064,825	757,935	802,032	1,063,725
Assessor’s Total Valuation	\$21,200,414,193	\$21,980,637,808	\$23,008,554,760	\$24,235,404,938	\$25,501,267,616
Less Exemptions					
Head of Family	\$199,350,527	\$197,074,629	\$194,424,222	\$192,806,093	\$192,811,057
Veteran	101,140,326	98,076,670	94,535,459	91,627,973	87,190,813
Disabled Veterans Waiver	257,340,487	279,238,626	301,324,876	348,982,730	401,692,209
Veterans Org ⁽¹⁾	0	0	0	0	1,548,266
Other	3,192,224,424	3,245,991,434	3,355,491,485	3,427,686,383	3,625,790,113
Total Exemptions	\$3,750,055,764	\$3,820,381,359	\$3,945,776,042	\$4,061,103,179	\$4,309,032,458
Assessor’s Net Valuation	\$17,450,358,429	\$18,160,256,449	\$19,062,778,718	\$20,174,301,759	\$21,192,235,158
Centrally Assessed	535,314,633	569,882,691	562,560,173	611,954,020	695,942,061
Total Assessed Valuation	\$17,985,673,062	\$18,730,139,140	\$19,625,338,891	\$20,786,255,779	\$21,888,177,219
	<u>2020</u>	<u>2021</u>	<u>2022</u>	<u>2023</u>	<u>2024</u>
Residential	\$14,029,902,966	\$14,732,198,707	\$15,542,058,310	\$16,375,262,353	\$17,220,156,682
Non-Residential	3,955,770,096	3,997,940,433	4,083,280,581	4,410,993,426	4,668,020,537
Total	\$17,985,673,062	\$18,730,139,140	\$19,625,338,891	\$20,786,255,779	\$21,888,177,219
Cross-County Assessed Valuation					
	<u>2020</u>	<u>2021</u>	<u>2022</u>	<u>2023</u>	<u>2024</u>
Bernalillo County	\$17,555,714,462	\$18,273,148,503	\$19,133,822,216	\$20,253,912,015	\$21,314,699,310
Sandoval County ⁽²⁾	429,958,600	456,990,637	491,516,675	532,343,764	573,477,909
Total	\$17,985,673,062	\$18,730,139,140	\$19,625,338,891	\$20,786,255,779	\$21,888,177,219

(1) Effective 2024.

(2) Portion of Corrales located in Sandoval County.

Sources: Bernalillo and Sandoval County Assessor’s Office.

History of Assessed Valuation

Listed below is a 5-year history of assessed valuation for the District compared with Bernalillo County and Sandoval County. The tax base of the District has increased 21.69% since 2020 compared with a 21.41% increase for Bernalillo County and a 51.62% increase for Sandoval County.

Table 2
History of Assessed Valuation

Year	Albuquerque School District	Bernalillo County	Sandoval County
2024	\$21,888,177,219	\$21,448,181,032	\$5,909,718,948
2023	20,786,255,779	20,382,533,837	5,082,477,123
2022	19,625,338,891	19,256,970,469	4,599,312,298
2021	18,730,139,140	18,390,395,538	4,122,515,350
2020	17,985,673,062	17,666,252,107	3,897,811,663

Source: Bernalillo and Sandoval County Assessor's Office

Major Taxpayers

As highlighted in the table below, the ten largest taxpayers in the District for tax year 2024 have a combined assessed valuation of \$714,146,594 which represents 3.26% of the District's total 2024 assessed valuation.

Table 3
Major Taxpayer

Taxpayer	Type of Business	2024 Assessed Valuation	% of Total Assessed Value
Public Service Co of New Mexico	Electric Utility	\$339,603,617	1.55%
Arenas Global 1 Prop Company LLC	Property	65,843,158	0.30
Amazon.com Services LLC	Internet Retail	65,686,802	0.30
New Mexico Gas Company	Gas Utility	49,032,623	0.22
Comcast	Cable Provider	46,976,933	0.21
Qwest Corp	Telephone	41,289,100	0.19
Southwest Airlines	Airlines	35,665,838	0.16
MDS Investment LLC	Investors	27,968,029	0.13
Verizon Wireless	Cellular	21,929,462	0.10
Markets Wholly Owned by Cellco PTN	Retail	20,151,032	0.09
Total		\$714,146,594	3.26%

Source: Bernalillo County Assessor's Office.

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School Tax Rates

The following table summarizes the historical school tax levies on residential and non-residential property within the District since the 2020 tax year (2020-21 fiscal year). On November 5, 2019 voters authorized the Public School Capital Improvements Tax Levy (the “Two Mill Levy”) for property tax years 2019 through 2024 and on November 2, 2021 voters reauthorized the Public School Buildings Act levy (the “HB33 levy”) for property tax years 2022 through 2028.

Table 4
District Tax Rates

Year	Operational		Two Mill Levy		HB 33 Levy		Debt Service ⁽¹⁾			Total	
	Res.	Non-Res.	Res.	Non-Res.	Res.	Non-Res.	GOB	ETN	Combined	Res.	Non-Res.
2024	\$0.268	\$0.500	\$1.963	\$2.000	\$3.766	\$4.344	\$4.480	\$0.000	\$4.480	\$10.477	\$11.324
2023	0.273	0.500	2.000	2.000	3.838	4.344	4.480	0.000	4.480	10.591	11.324
2022	0.271	0.500	2.000	2.000	3.838	4.344	4.480	0.000	4.480	10.589	11.324
2021	0.264	0.500	2.000	2.000	3.761	4.344	4.480	0.000	4.480	10.505	11.324
2020	0.270	0.500	2.000	2.000	3.838	4.344	4.284	0.196	4.480	10.588	11.324

(1) The debt service tax rate is the same for residential and non-residential property.

Source: New Mexico Department of Finance and Administration.

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Tax Rates

Article VIII, Section 2, of the New Mexico Constitution limits the total ad valorem taxes for operational purposes levied by all overlapping governmental units within the District to \$20.00 per \$1,000 of assessed value. This limitation does not apply to levies for public debt and levies for additional taxes if authorized at an election by a majority of the qualified voters of the jurisdiction voting on the question. The following table summarizes the tax status on residential property in Bernalillo County for fiscal year 2024 (tax year 2025) and the previous four years. A high level of taxation may impact the District's ability to repay the Series 2025B Bonds.

Table 5
All Tax Rates
Bernalillo County

	Within 20 Mill Limit for General Purposes				
	2020	2021	2022	2023	2024
State of New Mexico	\$0.000	\$0.000	\$0.000	\$0.000	\$0.000
Bernalillo County	7.114	6.972	7.210	7.279	7.140
City of Albuquerque	6.317	6.180	6.232	6.284	6.170
AMAFCA ⁽¹⁾	0.174	0.171	0.173	0.175	0.172
Albuquerque MSD #12	0.270	0.264	0.271	0.273	0.268
Central NM Community College	2.822	2.763	2.775	2.790	2.733
Total	\$16.697	\$16.350	\$16.661	\$16.801	\$16.483
	Over 20 Mill Limit – Interest, Principal, Judgment, etc.				
State of New Mexico	\$1.360	\$1.360	\$1.360	\$1.360	\$1.360
Bernalillo County	1.265	1.265	1.264	1.264	1.264
City of Albuquerque	4.976	4.976	4.976	4.976	4.976
AMAFCA ⁽¹⁾	0.675	0.675	0.675	0.675	0.675
Albuquerque MSD #12	10.318	10.241	10.318	10.318	10.209
Central NM Community College	1.000	1.000	1.000	1.000	1.000
Total	\$19.594	\$19.517	\$19.593	\$19.593	\$19.484
	Total Levy				
State of New Mexico	\$1.360	\$1.360	\$1.360	\$1.360	\$1.360
Bernalillo County	8.582	8.436	8.474	8.543	8.404
City of Albuquerque	11.293	11.156	11.208	11.260	11.146
AMAFCA ⁽¹⁾	0.849	0.846	0.848	0.850	0.847
Albuquerque MSD #12	10.588	10.505	10.589	10.591	10.477
UNM Hospital	6.400	6.272	6.279	6.339	6.224
Central NM Community College	3.822	3.763	3.775	3.790	3.733
Total Residential in Albuquerque	\$42.894	\$42.338	\$42.533	\$42.733	\$42.191
Total Non-Residential in Albuquerque ⁽²⁾	\$47.978	\$47.978	\$47.976	\$47.976	\$47.808
Village of Los Ranchos					
Residential	\$31.752	\$31.336	\$31.477	\$31.623	\$31.198
Non-Residential	\$36.306	\$36.306	\$36.304	\$36.304	\$36.136
Village of Tijeras					
Residential	\$31.633	\$31.170	\$31.363	\$31.508	\$31.063
Non-Residential	\$37.531	\$37.531	\$37.529	\$37.512	\$37.361
Village of Corrales (Sandoval County)					
Residential	\$31.168	\$30.852	\$30.518	\$30.215	\$30.099
Non-Residential	\$37.973	\$38.620	\$38.810	\$38.615	\$34.931

(1) Albuquerque Metropolitan Arroyo Flood Control Authority ("AMAFCA").

(2) Includes non-residential and debt service tax rate for AMAFCA.

Source: New Mexico Department of Finance & Administration.

Yield Control Limitation

State law limits property tax rate increases from the prior property tax year. Specifically, no taxing entity may set a rate or impose a tax (excluding oil and gas production ad valorem and oil and gas production equipment ad valorem taxes) or assessment which will produce revenues which exceed the prior year's tax revenues from residential and non-residential property multiplied by a "growth control factor." The growth control factor is the percentage equal to the sum of (a) "percent change I" plus (b) the prior property tax year's total taxable property value plus "net new value", as defined by Statute, divided by such prior property tax year's total taxable property value, but if that percentage is less than 100%, then the growth control factor is (a) "percent change I" plus (b) 100%. "Percent change I" is based upon the annual implicit price deflator index for state and local government purchases of goods and services (as published in the United States Department of Commerce monthly publication entitled "Survey of Current Business," or any successor publication) and is a percent (not to exceed 5%) that is derived by dividing the increase in the prior calendar year (unless there was a decrease, in which case zero is used) by the index for such calendar year next preceding the prior calendar year. *The growth control factor applies to authorized operating levies and to any capital improvements levies but does not apply to levies for paying principal and interest on public general obligation debt, including the Series 2025B Bonds.*

Developments Limiting Residential Property Tax Increases

Under Section 7-36-21.2 NMSA 1978 limits annual residential property valuation increases to 3% over the prior year's valuation or 6.1% over the valuation from two years prior. Subject to certain exceptions, these limitations do not apply:

1. To property that is being valued for the first time;
2. To physical improvements made to the property in the preceding year;
3. When the property is transferred to a person other than a spouse, or a child who occupies the property as his principal residence and who qualifies for the head of household exemption on the property under the Property Tax Code;
4. When a change occurs in the zoning or use of the property; and
5. To property that is subject to the valuation limitations under Section 7-36-21.3 NMSA 1978.

Section 7-36-21.3 NMSA 1978 places a limitation on the increase in value for property taxation purposes for single-family dwellings occupied by low-income owners who are 65 years of age or older or who are disabled. The statute fixes the valuation of the property to the valuation in the year that the owner turned 65 or became disabled. The Section 7-36-21.3 limitation does not apply:

1. To property that is being valued for the first time;
2. To a change in valuation resulting from physical improvements made to the property in the preceding year; and
3. To a change in valuation resulting from a change in the zoning or permitted use of the property in the preceding year.

Amendments to State laws affecting residential property taxes are proposed from time to time and may be proposed in the future by the Legislature. Such amendments, if enacted, could result in an increase

to the tax rate imposed on residential property tax within the District in order to pay the principal of and interest on general obligation bonds issued by the District, including the Series 2025B Bonds.

The constitutionality of the property tax limitation has been challenged in a number of venues. On March 28, 2012, the New Mexico Court of Appeals upheld the statutory valuation cap and its application under Section 7-36-21.2 NMSA 1978, which ruling was affirmed by the New Mexico Supreme Court in June 2014. The Legislature has brought up the issue of the disparity in valuations in the past several years but has not enacted any of the bills into law. To the extent this legislative action is taken or a future constitutional amendment is passed amending the valuation provisions, such actions could have a material impact on the valuation of residential property in the District.

Property Subject to Taxation and Recent Property Tax Amendments

Real property is subject to taxation with certain exemptions. Within the real property classification, exemptions include: property of the United States of America; property of the State, all counties, towns, cities and school districts or other municipal corporations; public libraries; community ditches and all laterals thereof; all church property not used for commercial purposes; all property used for educational and charitable purposes; all cemeteries not used or held for private or corporate profit; and motor vehicles (other than mobile homes). Also, certain amounts of the taxable value of property is exempt from taxation if such property is owned by the head of a family who is a State resident (\$2,000 of residential property) or is owned by a veteran or a veteran's unmarried surviving spouse if the veteran or spouse is a State resident (\$4,000 of residential property). All tangible personal property has been exempted from property taxation by statute except for tangible personal property used, produced, manufactured, held for sale, leased or maintained by a person for purposes of his profession, business or occupation (unless otherwise specifically exempted from property taxation by the Federal or State Constitution or law); tangible property for which the owner has claimed a deduction from depreciation for federal income tax purposes; mobile homes; livestock; and certain inventories of personal property.

In 2024, New Mexico voters approved two amendments to New Mexico's Constitution that impact property tax revenues. Amendment 1 amends Article 8, Section 15 of the Constitution to extend the property tax exemption, currently only allowed for one hundred percent disabled veterans and their widow and widowers, to veterans with less than one hundred percent disability and their widows and widowers, based on the veteran's disability rating. Amendment 2 amends Article 8, Section 5 of the Constitution to increase the property tax exemption for honorably discharged members of the armed forces and their widows and widowers. This amendment increases the property tax exemption from the current amount of \$4,000 to \$10,000 a year.

In the 2025 regular legislative session, the New Mexico Legislature adopted, and on March 20, 2025 the Governor signed, House Bill 47 implementing the expanded property tax exemptions created by these amendments. House Bill 47 contained an emergency clause making it effective upon the Governor's signature. The legislation made the \$10,000 veteran exemption applicable for the 2025 property tax year and provided for annual inflation adjustments based on the consumer price index beginning with the 2026 property tax year. The disabled veterans' exemption becomes applicable for the 2026 property tax year. Veterans eligible for both exemptions may be able to receive both exemptions applicable to a property in the order and manner set forth in the legislation.

In its impact report relating to the constitutional amendments, the New Mexico Taxation and Revenue Department estimated, based on tax year 2020, that approximately 74,000 veterans claimed an exemption from property tax and that 63% of the veteran population reside in Bernalillo, Dona Ana, Sandoval, Santa Fe, and Otero counties. Those counties may be able to mitigate 40% of the lost revenue resulting from the constitutional amendments through yield control under NMSA 1978, § 7-37-7.1. The

Taxation and Revenue Department estimated that the expanded exemptions would create an annual average property tax reduction of \$180 per qualifying veteran, which may result in an increase in annual per capita tax burden of \$34 on the overall population. The Taxation and Revenue Department's estimates are based on numerous assumptions as set forth in its report, and the actual economic effect of the expanded exemptions may not align with those calculations. The economic impact of the two Constitutional Amendments on the District cannot be predicted at this time.

Tax Collections

General (ad valorem) taxes for all units of government are collected by the county treasurer and distributed monthly to the various political subdivisions to which they are due.

Property taxes are due in two installments. The first half installment is due on November 10 and becomes delinquent on December 10. The second half-installment is due on April 10 and becomes delinquent on May 10.

Collection statistics for all political subdivisions for which each county treasurer collects taxes are presented below:

Table 6
Bernalillo County Tax Collections

Tax Year	Fiscal Year	Net Taxes Charged to Treasurer	Current Tax Collections ⁽¹⁾	Current Collections as a % of Net Levied	Current/Delinquent Tax Collections ⁽²⁾	Current/Delinquent Collections as a % of Net Levied
2024	2025	\$905,783,862	\$862,969,135	95.27%	\$862,969,135	95.27%
2023	2024	868,620,484	843,121,433	97.06%	857,279,520	98.69%
2022	2023	817,282,846	794,600,406	97.22%	813,268,510	99.51%
2021	2022	777,170,450	754,731,268	97.11%	775,251,541	99.75%
2020	2021	756,941,564	734,177,887	96.99%	755,240,829	99.78%

(1) As of June 30 of each year prior to tax year 2024. Tax year 2024 figures as of May 31, 2025.

(2) As of May 31, 2025.

Source: Bernalillo County Treasurer's Office.

Table 7
Sandoval County Tax Collections

Tax Year	Fiscal Year	Net Taxes Charged to Treasurer	Current Tax Collections ⁽¹⁾	Current Collections as a % of Net Levied	Current/Delinquent Tax Collections ⁽²⁾	Current/Delinquent Collections as a % of Net Levied
2024	2025	\$194,104,027	\$187,963,161	96.84%	\$187,963,161	96.84%
2023	2024	171,378,386	166,620,898	97.22%	169,259,851	98.76%
2022	2023	157,656,817	153,229,924	97.19%	156,663,755	99.37%
2021	2022	144,260,230	139,859,626	96.95%	143,731,466	99.63%
2020	2021	134,814,454	129,969,551	96.41%	134,391,640	99.69%

(1) As of June 30 of each year prior to tax year 2024. Tax year 2024 figures as of May 31, 2025

(2) As of May 31, 2025.

Source: Sandoval County Treasurer's Office.

Interest on Delinquent Taxes

Pursuant to Section 7-38-49 NMSA 1978, if property taxes are not paid for any reason within thirty (30) days after the date they are due, interest on the unpaid taxes shall accrue from the thirtieth (30th) day after they are due until the date they are paid. Interest accrues at the rate of one percent (1%) per month or any fraction of a month.

Penalty for Delinquent Taxes

Pursuant to Section 7-38-50 NMSA 1978, if property taxes become delinquent, a penalty of one percent (1%) of the delinquent tax for each month, or any portion of a month, they remain unpaid shall be imposed, but the total penalty shall not exceed five percent (5%) of the delinquent taxes. The minimum penalty imposed is \$5.00. A county can suspend application of the minimum penalty requirement for any tax year.

If property taxes become delinquent because of an intent to defraud by the property owner, fifty percent (50%) of the property tax due or fifty dollars (\$50.00), whichever is greater, shall be added as a penalty.

Remedies Available for Non-Payment of Taxes

Pursuant to Section 7-38-47 NMSA 1978, property taxes are the personal obligation of the person owning the property on the date on which the property was subject to valuation for property taxation purposes. A personal judgment may be rendered against the taxpayer for payment of taxes that are delinquent, together with any penalty and interest on the delinquent taxes.

Taxes on real property are a lien against the real property. Pursuant to Section 7-38-65 NMSA 1978, delinquent taxes on real property may be collected by selling the real property on which taxes are delinquent.

Pursuant to Section 7-38-53 NMSA 1978, delinquent property taxes on personal property may be collected by asserting a claim against the owner(s) of the personal property for which taxes are delinquent.

THE DISTRICT

The District is a political subdivision of the State organized for the purpose of operating and maintaining an educational program for the school-age children residing within its boundaries.

Currently the District operates and maintains a variety of facilities in meeting its obligation to provide an educational program within its boundaries that cover 1,200 square miles with an estimated population of 676,685.

The District is one of the largest school districts in the country and the largest school district in the State with over 77,200 students in the Albuquerque metropolitan area, including over 68,000 students attending District schools, and over 9,200 students attending charter schools within the District's boundaries for the 2023-24 school year based on the 80/120 day average count from the State Equalization Guarantee Funding Formula. The District operates 139 school sites - 84 elementary schools, 27 middle schools, 7 district-owned charter sites, 3 K-8 schools, 13 high schools and 20 schools of choice. In addition, there are 29 District authorized charter schools. The District's educational program also includes vocational, technical and occupational training. In addition, the District is responsible for the educational instruction of students in the following institutions: Bernalillo County Detention Center; Bernalillo County Juvenile

Detention Center; Family School and Hogares Youth Home. The District employs approximately 12,400 full-time-equivalent employees and is one of the largest employers in the Albuquerque MSA.

See sections “INTRODUCTORY SECTION – Letter of Transmittal” (page iii – 1) and “FINANCIAL SECTION – Management’s Discussion and Analysis” (page vii – 1) of the District’s June 30, 2024 Audited Financial Statements in Appendix A hereto for additional information regarding the District.

School District Powers

The District’s powers are subject to regulations adopted by the New Mexico Public Education Department (“PED”). Pursuant to an amendment to Article XII, Section 6 of the New Mexico Constitution, adopted at a special election held September 23, 2003, the Secretary of Education (the “Secretary”) is the governing authority and has control, management, and direction of all public schools pursuant to power provided by law. The Secretary further exercises supervision and authority over the PED. Generally, the powers of the Secretary and the PED include determining policy regarding operations of all public schools, designating courses of instruction, adopting regulations, determining qualifications for teachers, counselors and their assistants, and prescribing minimum educational standards. The Secretary may order the creation or consolidation of school districts.

Management

The District Board, subject to regulations of PED, develops educational policies for the District. The District Board employs a superintendent of schools, delegates administrative and supervisory functions to the superintendent, fixes the superintendent’s salary, has the capacity to sue and be sued, contracts, leases, purchases and sells property for the District, acquires and disposes of all property, provides for the repair and maintenance of the District’s property, and adopts regulations pertaining to the administration of all powers or duties of the District Board. Members serve without compensation for four-year terms of office and are elected in non-partisan elections held every two years in November in odd-numbered years. The current District Board members are:

Danielle Gonzales, President
Term expires December 31, 2025

Josefina E. Dominguez, Member
Term expires December 31, 2025

Courtney I. Jackson, Vice President
Term expires December 31, 2025

Crystal Tapia-Romero, Member
Term expires December 31, 2025

Janelle Astorga, Secretary
Term expires December 31, 2027

Ronalda Tome-Warito, Member
Term expires December 31, 2027

Heather Benavidez, Member
Term expires December 31, 2027

The Superintendent of Schools is selected by and serves at the discretion of the District Board. All other staff members are selected by the Superintendent. The current administrative staff is:

Dr. Gabriella Blakey, Superintendent. The Superintendent is the Chief Executive Officer of the District. The duties of the Superintendent are defined in statute and the New Mexico Regulatory Code. On February 5, 2024, the Board selected Dr. Gabriella Blakey, the former Chief Operations Officer for the District, to serve as the District’s Superintendent, effective July 1, 2024. In February 2025, the Board approved a two-year contract extension for Dr. Blakey, lengthening her tenure as the District’s leader through June 2028. Dr. Blakey has served school districts for many years in several roles, including as

teacher, activities director, assistant principal, principal and associate superintendent, and as a charter co-founder/executive director. As Chief Operations Officer, she is a member of the Superintendent's Cabinet and Leadership teams. The Chief Operations Officer oversees the planning, development, assessment and improvement of operational services and administrative programs, including non-instructional projects of the District. Dr. Blakey holds a New Mexico Level III-B PreK-12 Administrative License and a New Mexico Level III-A Instructional Leader 7-12 Secondary License with an endorsement in Social Studies and TESOL. Dr. Blakey is a graduate of the District's Highland High School and holds a Bachelor of Science in Secondary Education from New Mexico State University. She holds a Master of Arts in Educational Leadership and a Doctor of Education from the University of New Mexico.

Rennette Apodaca, MPA, CPPO, Chief Financial Officer. Rennette Apodaca, Chief Financial Officer since August 2022, began with the District in 2015 and has extensive public administration experience with a focus in procurement which includes Executive Director of Procurement and Accounts Payable and Business Systems for APS, Director of Purchasing, Risk Management and Materials Management at New Mexico State University, Purchasing Manager at Dona Ana County, and Purchasing Supervisor for a Federal NASA Contractor. She teaches public sector related courses for New Mexico Edge that includes Public Sector Procurement, Contract Administration, Public Sector Budgeting, Public Finance and Procurement Administration. She has also served as president of New Mexico Public Procurement Association (NMPPA). Ms. Apodaca has a Bachelor of Accountancy and Master of Public Administration from New Mexico State University, holds a certificate in Education Finance from McCourt School of Public Policy – Georgetown University, and is a Certified Public Procurement Officer (CPPO). As the chief financial officer, she is a member of the Superintendent's Cabinet and Leadership teams. The chief financial officer manages the finances of the District and oversees the business units which handle the financial activity of the school District.

Gabriel Jacquez, Deputy Superintendent of Operations. Gabriel earned his Master of Business Administration and Master of Educational Administration, as well as his bachelor's, from New Mexico State University. He also completed the Turnaround School Specialist Program at the University of Virginia. Prior to joining Albuquerque Public Schools in 2024, he served as Deputy Superintendent of Operations and Leadership at the Las Cruces Public Schools District. Gabriel has also served as an Associate Superintendent for Operations, a school principal, an assistant principal, and a teacher. Gabriel has served on the Board of Directors of Big Brothers Big Sisters of Southern NM, the board of the Las Cruces Public Schools Foundation, and is a graduate of Leadership Las Cruces sponsored by the Greater Las Cruces Chamber of Commerce.

Intergovernmental Agreements

The District has entered into various joint powers agreements with other governmental entities in the State which permit all the governmental entities to jointly provide certain equipment purchases and other services cooperatively.

School Property

Currently, the District operates and maintains a variety of facilities in meeting its obligations to provide an educational program for the school-aged children residing within its boundaries. The District operates 84 elementary schools, 27 middle schools, 13 high schools, 7 district-owned charter sites, 3 K-8 schools and 20 schools of choice. Twenty-nine charter schools also operate within the District. The District owns vacant land held for future school sites.

Student Enrollment

The District's student enrollment, based on the 40th day count for the current and previous four years, is detailed below.

Table 8
Student Enrollment⁽¹⁾⁽²⁾

	2020-21	2021-22	2022-23	2023-24	2024-25
Elementary School	34,442	33,928	33,051	31,729	30,869
Middle School	17,265	16,250	14,967	14,008	13,330
High School	23,253	23,793	23,101	22,610	21,562
APS Authorized Charter School	9,066	8,950	9,248	9,258	8,843
Total	84,026	82,921	80,367	77,605	74,604

(1) Includes District Charter School Enrollment.

(2) See "FINANCIAL INFORMATION – Management Comments regarding District Finances" for a discussion of the District's declining enrollment trends and the District's resulting expectation of a budget shortfall in fiscal year 2024-25.

Source: New Mexico Public Education Department, 40th day enrollment.

Accreditation

The District, as a whole, is accredited by PED. The District is subject to periodic monitoring by the PED to ensure continued compliance with accreditation standards.

FINANCIAL INFORMATION

General

The basic format for the financial operation of the District is provided by the PED through the School Budget Planning Division which is directed by State law to supervise and control the preparation of all budgets of all school districts. The District receives revenue from a variety of local, State, and federal sources, the most important of which are described below. New Mexico's public school finance laws are subject to review and examination through the judicial process and are subject to legislative changes as well. As a result, the District cannot anticipate with certainty all of the factors which may influence the financing of its future activities. There is no assurance that there will not be any change in, interpretation of, or addition to the applicable laws, provisions, and regulations which would have a material effect, directly or indirectly, on the affairs of the District.

District Budget Process

Each year, the school district budget process begins with the educational appropriations passed by the Legislature and signed into law by the Governor. The actual budget process follows specific steps set by the PED.

- Pursuant to instruction by the PED, the District must submit an operating budget for the next school year to the PED. If the District fails to submit a budget, the PED must prepare a District budget for the ensuing year. Upon written approval of the state superintendent, the date for the submission of the operating budget may be extended to a later date fixed by the state superintendent (Section 22-8-6).

- Before May 31 of each year, the District Board must hold a public hearing to present the estimated budget for the next school year.
- Before June 20 of each year, the District must submit a balanced budget to the PED.
- On or before July 1 of each year, the PED must approve and certify an approved operating budget for use by the District Board.

No school board, officer or employee of a school district may make an expenditure or incur any obligation for the expenditure of public funds unless that expenditure is made in accordance with an operating budget approved by the PED. This requirement, however, does not prohibit the transfer of funds between line items within a series of a budget. Final budgets may not be altered or amended after approval by the PED except upon the District's request to the PED. An instance in which such requests will be approved include a change within the budget that does not increase the total amount of the budget. Additional budget items may also be approved if the District is to receive unanticipated revenues. Finally, if it becomes necessary to increase the District's budget by more than \$1,000 for any reason other than those listed above, the PED may order a special public hearing to consider the requested increase.

Formal budgetary integration is employed as a management control device during the year for the General Fund, Special Revenue Funds, and Debt Service Fund with appropriations lapsing at year end. Total expenditures of any function category may not exceed categorical appropriations.

To conform to PED's requirements, budgets for all funds of the District are adopted on the cash basis of accounting except for state instructional material credit. State instructional material funds provide for free textbooks from the PED. As a result, budgets are not prepared in conformity with generally accepted accounting principles (GAAP), and budgetary comparisons are presented on the cash basis of accounting.

Pursuant to the District's internal policy, it has historically budgeted a 5% cash balance reserve.

Sources of Revenue for General Fund

The General Fund is the primary operating fund of the District and accounts for all financial resources, except those required to be accounted for in other funds. The sources of revenue for the District's General Fund are:

Local Revenues - Local revenues are a minor source of revenue to the District composed, in part, by a property tax annually levied on and against all of the taxable property within the District for operational purposes. The levy is limited by State law to a rate of 50 cents for each \$1,000 of net taxable value of taxable property. Other sources of local revenues include interest income earned on the District's investments, rentals and sale of property. In fiscal year 2024, the District received \$24,421,254 from local sources.

Federal Revenues - Another minor source of annual revenue for the District's General Fund is derived from federal grant funds related to vocational, special education, and various other programs and P.L. 874 federal impact moneys paid to the District in lieu of taxes on federal land located in the District. In fiscal year 2024, the District received \$516,431 in federal revenues for its General Fund.

State Revenues - The District's largest source of annual revenue is derived from the SEG payments described below. During fiscal year 2024, the District received \$902,132,589 from state sources. Such payments represented approximately 97.2% of actual fiscal year 2024 General Fund revenues.

State Equalization Guarantee

The State Legislature enacted New Mexico's current public school funding formula in 1974. Designed to distribute operational funds to local school districts in an objective manner, the funding formula is based upon the educational needs of individual students and costs of the programs designed to meet those needs. Program cost differentials are based upon nationwide data regarding the relative costs of various school programs, as well as data specific to New Mexico. The objectives of the formula are (1) to equalize educational opportunity statewide (by crediting certain local and federal support and then distributing state support in an objective manner) and (2) to retain local autonomy in actual use of funds by allowing funds to be used in local districts at the discretion of local policy making bodies. The formula is divided into three basic parts:

1. Educational program units that reflect the different costs of identified programs;
2. Training and experience units that attempt to provide additional funds so that districts may hire and retain better educated and more experienced instructional staff; and
3. Size adjustment units that recognize local school and community needs, economies of scale, types of students, marginal costs increases for growth in enrollment from one year to the next, and adjustments for the creation of new districts.

SEG payments are made monthly and prior to June 30 each fiscal year. The calculation of the distribution is also based on the local and federal revenues received from June 1 of the previous fiscal year through May 31 of the fiscal year for which the SEG payment is being computed. In the event that a district receives more SEG funds than its entitlement, the district must make a refund to the State's general fund.

Even though the current public school funding formula has been in place for more than three decades, some districts have indicated a concern about the fact that some districts receive less revenue per pupil compared to others. In response to these concerns, the Legislature, the Governor, and the State Board of Education authorized an independent, comprehensive study of the formula, which was conducted in 1996. In its principal finding the independent consultant concluded, “. . . When evaluated on the basis of generally accepted standards of equity, the New Mexico public school funding formula is a highly equitable formula. . . . [S]pending disparities are less than in other states and statistically insignificant.”

Despite the acknowledged equity of the formula, the independent consultant pointed out a strong perception of unfairness in the so-called “density” factor and in the training and experience computations of some districts. As a result, the Legislature enacted the following changes to the funding formula:

- Required that special education students be counted with regular students with “add-on” weights assigned depending upon the severity of the disability;
- Changed weights for special education ancillary services and included diagnosticians in ancillary services computations; and
- Repealed the so-called “density” factor and replaced it with an at-risk factor that is available to all school districts.

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State Equalization Guarantee budgeted amount to the District for the previous five fiscal years are as follows:

Table 9
State Equalization Guarantee Distribution⁽¹⁾

School Year	Program Unit Value	Number of Program Units	Amount Received
2024-2025	\$6,553.75	163,019	\$1,068,384,016
2023-2024	6,241.67	164,007	1,023,676,635
2022-2023	5,522.50	164,449	908,167,914
2021-2022	4,863.00	167,353	813,837,570
2020-2021	4,536.75	175,807	797,594,558

(1) Includes District charter school distributions.

Source: New Mexico Public Education Department.

The District is also reimbursed by the State for the costs of transporting pupils to and from school. These payments are based upon a formula consisting of the number of students per square mile that are transported. In fiscal year 2023-2024, the District received \$20,822,624 for transportation purposes.

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Statement of Revenues, Expenditures and Changes in Fund Balances – General Fund

Below is a five-year history of the Statement of Revenues, Expenditures and Changes in Fund Balances (General Fund only) for the District. The complete independent audit report for the fiscal year ending June 30, 2024 and the last four fiscal years can be downloaded from the New Mexico Office of the State Auditor's website using the following link: <https://osaconnect.osa.nm.gov/auditReportSearch.html>.

Table 10
General Fund Statement of Revenues, Expenditures and Changes in Fund Balances

	Fiscal Year 2020	Fiscal Year 2021	Fiscal Year 2022	Fiscal Year 2023	Fiscal Year 2024
Revenues:					
Property taxes	\$5,594,452	\$5,780,165	\$5,886,625	\$6,283,342	\$6,649,267
State grants	718,022,132	706,995,565	719,352,452	805,535,165	902,132,589
Federal grants	107,680	363,392	246,181	329,972	516,431
Miscellaneous	7,959,080	3,820,612	6,837,364	6,433,735	8,808,161
Interest	1,693,517	55,713	110,279	5,463,658	8,963,826
Total revenues	\$783,476,861	\$717,015,447	\$732,432,901	\$824,045,872	\$927,070,274
Expenditures:					
Instruction	\$485,010,295	\$473,758,592	\$489,373,542	\$548,150,851	\$605,583,173
Student support services	72,541,249	71,645,133	78,850,236	87,167,392	104,677,505
Instruction support services	21,753,195	20,808,236	20,612,912	22,232,720	26,560,050
General administration	1,402,969	627,381	313,772	1,045	49,304
School administration	42,802,341	42,755,240	42,945,095	48,137,994	52,060,516
Central services	23,133,426	19,130,056	18,528,985	23,729,382	27,467,050
Operation & Maintenance of plant	82,435,221	85,483,552	88,563,811	77,299,864	99,077,436
Student transportation	2,941,438	250,851	--	141,744	1,146,920
Other support services	56,369	134,119	92,741	46,508	75,300
Food services operations	--	--	--	--	71,131
Community services	46,581	--	--	--	--
Facilities, Supplies and Materials	--	--	--	22,696	--
Debt Service	--	--	--	105,000	9,275
Capital Outlay	168,056	136,656	155,687	209,285	169,155
Total expenditures	\$732,291,140	\$714,729,816	\$739,436,781	\$807,244,481	\$916,946,815
Other Financing Sources					
Proceeds from sale of capital assets	--	--	--	--	\$49,898
Transfers	\$(1,343,270)	--	\$(112,136)	\$560,843	21,058
SBITA financing	--	--	--	405,148	--
Total other financing sources (uses)	\$(1,343,270)	--	\$(112,136)	\$560,843	\$70,956
Excess Revenues over Expenditures	\$(257,549)	\$2,285,631	\$2,854,359	\$17,362,234	\$10,194,415
Fund balances-beginning of year	\$58,882,886	\$58,625,337	\$60,910,968	\$63,765,327	\$81,127,561
Fund balances-end of year	\$58,625,337	\$60,910,968	\$63,765,327	\$81,127,561	\$91,321,976

Source: The figures have been extracted from the District's audited financial statements. Such figures are excerpts only and do not purport to be complete. The audited financial statements for the fiscal year ending June 30, 2024 are attached as Appendix A.

Management Comments Regarding District Finances

Over the last ten years, birth rates in New Mexico decreased steadily and following national rates. The impact to the District has been a loss of over 1,800 students per year on average. Student enrollment determines funding for the next school year and decreases in enrollment amount to millions fewer dollars to the District even though actual enrollment in the next year could increase.

Enrollment is the primary generator in the state's SEG funding. The District's declining enrollment trend has led to annual decreases in the number of program units for the District from fiscal year 2019-20 through fiscal year 2023-24. However, the program unit value has trended upward during such period allowing the District to have an increased overall budget to cover legislated increases. The District anticipates a budget shortfall for fiscal year 2025, but planning and preparation are well underway to resolve this shortfall and the District expects to achieve a balanced budget for fiscal year 2025. If a shortfall arises, the District is expected to use a portion of its fund balance to achieve a balanced budget.

Debt Service Funds

The Bernalillo and Sandoval County treasurers collect debt service funds sufficient to retire bonded debt as it becomes due and payable. Such funds are distributed to the District and accounted for separately from operating funds. The District is allowed to borrow all District funds if the collections are insufficient, but such borrowings must be repaid from tax collections. Debt service funds may not be used for general operating purposes.

Capital Projects Funds

The Capital Projects Funds are used to account for financial resources to be used for the acquisition or construction of major capital facilities. Property sales are recorded when the parties are bound by the terms of the contract, all consideration (including adequate cash) has been exchanged and all conditions precedent to closing have been performed. Until a sale has been recorded, revenues are deferred and payments received are reflected as escrow deposits.

Under the requirements of GASB 54, the District is required to present certain of its governmental funds as major funds based upon certain criteria. The major funds presented in the fund financial statements include the following (in addition to the District's General Fund operations), which include funds that were not required to be presented as major, but were presented at the discretion of management.

1. Debt Service Fund – This fund accounts for the servicing of general long-term debt not being financed by proprietary or nonexpendable trust funds.
2. Bond Building Capital Projects Fund – This fund is used to account for bond proceeds and any income earned thereon. The proceeds are restricted for the purpose of making additions to and furnishing of school buildings, or purchasing or improving school grounds or any combination thereof, as approved by the voters of the District.
3. Food Service Fund – This fund is to account for the cost of operating a student breakfast, lunch, snack bar and summer lunch program and is financed with federal grants and fees paid by program users.
4. IASA Title I Fund – This fund is to provide compensatory education services to educationally deprived school children (including private school pupils) in low-income areas. (P.L. 103-382)

5. IDEA-B Entitlement Fund – This fund is used to account for federal resources administered by the PED to provide for special educational needs of handicap 6-21-year-olds. (PL 94-142 & PL 99-457)
6. Capital Improvements HB33 Fund – This fund is to account for the costs relating to erecting, remodeling, making additions to, providing equipment for, or furnishing public school buildings and purchasing or improving public school grounds. Financing is provided through property taxes as authorized by the Public School Buildings Act (22-26-1 to 22-26-9, NMSA 1978).
7. Capital Improvements SB9 Fund – This fund is to account for erecting, remodeling, making additions to, providing equipment for, or furnishing public school buildings and purchasing or improving public school grounds or any combination thereof as identified by the local school board. Pursuant to the formula set forth in NMSA 1978 Section 22-25-9, the PED may pay additional sums to the District. Payment to the District by the PED is subject to the availability of funds.
8. The ARP ESSER III Fund – This fund is the third round of federal funding support to education with emphasis on the educational pandemic loss recovery.

Student Activity Funds

School sites, as fiscal agents, maintain and monitor special funds on behalf of various school activity groups. The funds are maintained by the schools and are intended to benefit specific activity or interest and are generally raised by students for student use. These funds were previously reported as agency funds in the financial statements. During the 2021 fiscal year, the District implemented GASB Statement No. 84, Fiduciary Activities. As a result, these funds are no longer considered agency funds, but are now classified as governmental funds. While these funds are under the supervision of the District and enhance the District's educational programs, they are funds of the individual schools and/or their student bodies and are not available for use by the District.

Investments

See Note 2 of the District's June 30, 2024, Audited Financial Statements attached hereto as Appendix A for information regarding the District's investments and depository accounts. The District only invests in securities permitted under NMSA 1978 Section 6-10-10.

The District implemented an investment program during the 2017 fiscal year. The program focuses on the District's need for cash liquidity, while enhancing the return on the use of the District's idle cash. The investment strategy uses a dual approach, with long-term investments made in U.S. Treasuries with staggered maturity dates of 1 to 3 years from the date of purchase. The second part invests cash on a short-term basis with the State Treasurer's Office, Local Government Investment Pool (LGIP), and with a government-only money market fund. The District's total cash balance, as of June 30, 2024, was distributed between U.S. Treasuries at 18%, LGIP at 20%, and 62% on-demand collateralized bank and money market deposits.

Employee Retirement Plan and Other Post-Employment Benefits

The District employs approximately 12,400 permanent employees as of June 30, 2024, of which more than 5,600 (45.0%) are certified educational staff (teachers/counselors/librarians/nurses) and over 1,500 (12.0%) are classroom educational assistants, for a total of approximately 7,100 (57.0%) certified direct classroom employees.

In addition to the following discussion, Notes 13 and 14 of the District's June 30, 2024 Audited Financial Statements attached hereto as Appendix A provides additional information regarding the District's pension and other post-employment benefit plans.

ERB Pension Plan Description:

Substantially all of the District's full-time employees participate in a public employee retirement system authorized under the Educational Retirement Act (Chapter 22, Article 11, NMSA 1978). The Educational Retirement Board ("ERB") is the administrator of the plan, which is a cost-sharing, multiple-employer defined benefit retirement plan. The plan provides for retirement benefits, disability benefits, survivor benefits and cost-of-living adjustments to plan members (certified teachers and other employees of State public school districts, colleges and universities) and beneficiaries. ERB issues a separate, publicly available financial report that includes financial statements and required supplementary information for the plan. The report may be obtained by writing to ERB, P.O. Box 26129, Santa Fe, New Mexico 87502. The report is also available on ERB's website at www.nmerb.org.

Contributions:

The contribution requirements of defined benefit plan members and the District are established in state statute under Chapter 10, Article 11, NMSA 1978. The requirements may be amended by acts of the legislature. For the past five fiscal years, educational employers contributed to the Plan based on the following rate schedule.

Fiscal Year	Date Range	Wage Category	Member Rate	Employer Rate	Combined Rate	Increase Over Prior Year
2024	7/1/2023 to	Over \$24k	10.70%	18.15%	28.85%	1.00%
	6/30/2024	\$24k or less	7.90	18.15	26.05	1.00
2023	7/1/2022 to	Over \$24k	10.70	17.15	27.85	2.00
	6/30/2023	\$24k or less	7.90	17.15	25.05	2.00
2022	7/1/2021 to	Over \$24k	10.70	15.15	25.85	1.00
	6/30/2022	\$24k or less	7.90	15.15	23.05	1.00
2021	7/1/2020 to	Over \$24k	10.70	14.15	24.85	1.00
	6/30/2021	\$24k or less	7.90	14.15	22.05	1.00
2020	7/1/2019 to	Over \$24k	10.70	14.15	24.85	0.25
	6/30/2020	\$24k or less	7.90	14.15	22.05	0.25

Contributions to the pension plan from the District were \$202,444,713 for the year ended June 30, 2024, which equals the amount of the required contribution for such fiscal year.

Pension Liabilities:

The total ERB pension liability, net pension liability, and sensitivity information were based on an annual actuarial valuation performed as of June 30, 2023. The total ERB pension liability was rolled forward from the valuation date to the Plan year ending June 30, 2023, using generally accepted actuarial principles. Therefore, the employer's portion was established as of the measurement date June 30, 2023. At June 30, 2024, the District reported a liability of \$1,442,401,566 for its proportionate share of the net pension liability. The District's proportion of the net pension liability is based on the employer contributing entity's percentage of total employer contributions for the fiscal year ended June 30, 2023. The contribution amounts were defined by Section 22-11-21, NMSA 1978. At June 30, 2023 the District's proportion was 16.60933%, which was an increase of 0.52075% from its proportion measured as of June 30, 2022.

On June 25, 2012, the Governmental Accounting Standards Board approved Statement No. 68 which addresses accounting and financial reporting for pensions that are provided to employees of state and local government employers through pension plans that are administered through trusts and also establishes standards for measuring and recognizing liabilities, deferred outflows of resources, deferred inflows of resources, and expenses. According to Statement No. 68, the School District, as a contributor to ERB, is required to recognize its proportionate share of the collective net pension liability, pension expense, and deferred inflows or outflows of resources of the cost-sharing, multi-employer plan with ERB.

In July 2012, the ERB adopted goals of achieving 95%, plus or minus 5% funded ratio by the year 2042. To achieve this goal, the New Mexico Legislature amended the Educational Retirement Act in the 2013 legislative session (Senate Bill 115; Chapter 61, Laws 2013). The legislation kept in place scheduled increases in employer contribution rates, created a new tier membership for persons who become members of the ERB Fund on or after July 1, 2013, created certain actuarial limitations on benefits of new tier members, placed limitations on future cost of living adjustments (“COLA”) for current and future retirees which are tied to the future funded ratios of the ERB Fund, and made certain other clarifying and technical changes.

In December 2013, the New Mexico Supreme Court in *Barlett v. Cameron*, 316 P.3d 889 (N.M. 2013), rejected the claims of certain retired teachers, professors and other public education employees challenging the state constitutionality of Senate Bill 115 to the extent that it reduces the future amounts that all education retirees might receive as annual COLA. The Court held that Article XX, Section 22 of the New Mexico Constitution did not grant the retirees a right to an annual COLA based on the formula in effect on the date of their retirement for the entirety of their retirement. The Court held that in the absence of any contrary indication from the New Mexico Legislature, any future COLA to a retirement benefit is merely a year-to-year expectation that, until paid, does not create a property right under the New Mexico Constitution. Once paid, the COLA, by statute, becomes part of the retirement benefit, and a property right subject to those constitutional protections.

Pension Plan Statistics

Following is a 5-year history of employer and employee contributions statewide, and average asset balance of the fund:

Fiscal Year Ending June 30	Employer Contributions	Employee Contributions	Net Assets Held in Trust
2020	\$451,556,144	\$328,080,239	\$13,019,196,862
2021	452,872,287	327,477,585	16,361,524,358
2022	511,943,988	347,917,165	15,550,701,708
2023	662,750,272	394,165,107	16,261,793,470
2024	770,384,190	435,808,030	17,498,210,024

Source: New Mexico Educational Retirement Board, Financial Reports.

Post-Employment Benefits:

The Retiree Health Care Act (Section 10-7C-13 NMSA 1978) (the “RHCA”) issues a publicly available stand-alone financial report that includes financial statements and required supplementary information for the post-employment healthcare plan. That report and further information can be obtained by writing to the Retiree Health Care Authority at 4308 Carlisle NE, Suite 104, Albuquerque, NM 87107.

Funding Policy:

The RHCA authorizes the RHCA Board to establish the monthly premium contributions that retirees are required to pay for healthcare benefits. Each participating retiree pays a monthly premium according to a service-based subsidy rate schedule for the medical plus basic life plan plus an additional participation fee of five dollars if the eligible participant retired prior to the employer's RHCA effective date or is a former legislator or former governing authority member. Former legislators and governing authority members are required to pay 100% of the insurance premium to cover their claims and the administrative expenses of the plan. The monthly premium rate schedule can be obtained from the RHCA or viewed on their website at www.nmrhca.state.nm.us.

The employer, employee and retiree contributions are required to be remitted to the RHCA on a monthly basis. The statutory requirements for the employer and employee contributions can be changed by the New Mexico State Legislature. Employers that choose to become participating employers after January 1, 1998 are required to make contributions to the RHCA fund in the amount determined to be appropriate by the board.

The RHCA establishes the required contributions of participating employers and their employees. For employees that were members of an enhanced retirement plan (state police and adult correctional officer member coverage plan 1; municipal police member coverage plan 3, 4 or 5; municipal fire member coverage plan 3, 4 or 5; municipal detention officer member coverage plan 1; and members pursuant to the Judicial Retirement Act) during the fiscal year ended June 30, 2013, the statute required each participating employer to contribute 2.5% of each participating employee's annual salary; and each participating employee was required to contribute 1.25% of their salary. For employees that were not members of an enhanced retirement plan during the fiscal year ended June 30, 2013, the statute required each participating employer to contribute 2.0% of each participating employee's annual salary; each participating employee was required to contribute 1.0% of their salary. In addition, pursuant to Section 10-7C-15(G) NMSA 1978, at the first session of the Legislature following July 1, 2013, the legislature shall review and adjust the distributions pursuant to Section 7-1-6.1 NMSA 1978 and the employer and employee contributions to the authority in order to ensure the actuarial soundness of the benefits provided under the Retiree Health Care Act.

The District's contribution to the RHCA for the year ended June 30, 2024 was \$14,062,469, which equals the required contribution for the year.

The District believes it does not have any liability should the plan be underfunded. In the future, the District's on-going contribution percentage may be increased.

Cybersecurity

The District operates a large and complex information technology infrastructure to support internal and external operations. As is the case with any such environment, the threat of cybersecurity incidents is a constant one. These incidents may arise from multiple sources, including unintentional events or actions, intentional insider threat, and deliberate malicious attacks or actions from outside entities. The effect of these threats may include unauthorized access to District systems, data or resources, inappropriate exposure or use of District information, disruption of District services, and damage to District systems.

The District continuously assesses its vulnerability to intentional and unintentional data and cybersecurity breaches. Specifically, the District has adopted a four-pronged approach consisting of (1) Education, (2) Protection, (3) Prevention and Mitigation and (4) Vigilance. Education measures include annual employee training and testing on cybersecurity topics and implementing data collection and

retention reviews to ensure District staff obtain and store only data that provides value. Protection measures include data and communication encryption, regular access reviews for sensitive data and processes and use of sensitive data change reports. Prevention and mitigation measures include heightened intrusion prevention and detection strategies coupled with increased URL screening and filtering. Finally, vigilance measures include the development of up-to-date internal processes for suspicious activities and events, annual external review of cybersecurity posture, monthly external penetration tests, collaboration with federal enforcement entities and annual review of industry, local, state and federal cybersecurity requirements. The District also maintains a cyber-security insurance policy.

DEBT AND OTHER FINANCIAL OBLIGATIONS

Article IX, Section 11 of the New Mexico Constitution limits the powers of a district to incur general obligation debt extending beyond the fiscal year. A district can incur such debt for the purpose of erecting, remodeling, making additions to and furnishing school buildings or purchasing or improving school grounds, to purchase computer software and hardware for student use in public schools, to provide matching funds for capital outlay projects funded pursuant to the Public School Capital Outlay Act, or any combination of these purposes but only after the proposition to create any such debt has been submitted to a vote of the qualified electors of such district, and a majority of those voting on the question vote in favor of creating the debt. The total indebtedness of the district may not exceed 6% of the assessed valuation of the taxable property within the district as shown by the last preceding general assessment. The district also may create a debt by entering into a lease-purchase arrangement to acquire education technology equipment without submitting the proposition to a vote of the qualified electors of the district, but any such debt is subject to the 6% debt limitation. The issuance of refunding bonds is not subject to the 6% debt limitation and is not subject to a vote of the qualified electors of the district.

The assessed valuation of taxable property within the District is \$21,888,177,219 for tax year 2024, as approved by the State of New Mexico Taxation and Revenue Department, Property Tax Division. Generally, the maximum general obligation indebtedness of the District may not exceed 6% of the assessed valuation or \$1,313,290,633.

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After the Series 2025B Bonds are issued, the ratio of total net outstanding general obligation debt of the District to the 2024 assessed valuation is summarized below:

Table 11
Debt Ratios

2024 Assessed Valuation	\$21,888,177,219
2024 Estimated Actual Valuation ⁽¹⁾	78,591,629,031
NET BONDED DEBT ⁽²⁾	\$431,005,000
Ratio of Net Debt to 2024 Assessed Valuation:	1.97%
Ratio of Net Debt to 2024 Estimated Actual Valuation:	0.55%
Per Capita Net Bonded Debt	\$636.94
Estimated Population	676,685

(1) Actual valuation is computed by adding the total exemptions to the assessed valuation and multiplying by three.

(2) Includes the Series 2025B Bonds and excludes the Refunded Series 2015 Bonds.

Source: Bernalillo and Sandoval County Assessors' Offices and the District.

Table 11 (cont.)
Bonding Capacity

	2020	2021	2022	2023	2024
Assessed Valuation	\$17,985,673,062	\$18,730,139,140	\$19,625,338,891	\$20,786,255,779	\$21,888,177,219
Legal Bonding Capacity (6% of Assessed Valuation)	1,079,140,384	1,123,808,348	1,177,520,333	1,247,175,347	1,313,290,633
Less Net Debt Outstanding	507,295,000	551,230,000	484,450,000	472,665,000	431,005,000
Remaining Capacity	\$571,845,384	\$572,578,348	\$693,070,333	\$774,510,347	\$882,285,633
% Bonded to Capacity	47.01%	49.05%	41.14%	37.90%	32.82%

Source: Bernalillo and Sandoval County Assessor's Office and the District.

Outstanding Debt

The District has issued debt ("Outstanding Debt") in the past for various capital improvements and has never defaulted in the payment of any of its debt or other obligations. Listed below is the District's total general obligation debt outstanding, including the Series 2025B Bonds.

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Table 12
Outstanding Debt

	Original Amount Issued	Final Maturity	Principal Outstanding ⁽¹⁾
2010	\$32,690,000	8/1/2027	\$22,190,000
2017	100,000,000	8/1/2033	63,900,000
2018	110,000,000	8/1/2037	76,400,000
2021A	43,000,000	8/1/2036	28,600,000
2021C	28,525,000	8/1/2029	20,470,000
2022	57,000,000	8/1/2037	37,565,000
2023A	70,000,000	8/1/2038	40,780,000
2023B	42,885,000	8/1/2029	29,715,000
2024	80,000,000	8/1/2039	36,665,000
2025A	50,000,000	8/1/2040	28,500,000
2025B	<u>46,220,000</u>	8/1/2030	<u>46,220,000</u>
	<u>\$660,320,000</u>		<u>\$431,005,000</u>

(1) Reflects amounts outstanding after August 1, 2025 principal payment. Excludes the Refunded Series 2015 Bonds.

Source: The District.

Debt Service Requirements by Maturity

The District schedules principal and interest payments at the time of the bond sales with constraints being general obligation debt capacity and expected property tax revenues. Below is a summary of the currently scheduled principal and interest on the District's outstanding general obligation bond debt as well as the proposed principal and interest payments on the Series 2025B Bonds.

Table 13
Debt Service Requirements by Maturity

Calendar Year	Current GO Bonds Requirements			Series 2025B Bonds			Total GO Bonds Requirements		
	Principal	Interest	Total	Principal	Interest	Total	Principal	Interest	Total
2026	\$57,875,000	\$17,993,423	\$75,868,423	\$5,515,000	\$2,195,450	\$7,710,450	\$63,390,000	\$20,188,873	\$83,578,873
2027	50,315,000	15,330,965	65,645,965	5,355,000	2,035,250	7,390,250	55,670,000	17,366,215	73,036,215
2028	41,580,000	13,020,364	54,600,364	11,625,000	1,767,500	13,392,500	53,205,000	14,787,864	67,992,864
2029	41,425,000	11,153,722	52,578,722	11,715,000	1,186,250	12,901,250	53,140,000	12,339,972	65,479,972
2030	27,540,000	9,272,000	36,812,000	12,010,000	600,500	12,610,500	39,550,000	9,872,500	49,422,500
2031	26,940,000	7,921,000	34,861,000				26,940,000	7,921,000	34,861,000
2032	26,940,000	6,600,000	33,540,000				26,940,000	6,600,000	33,540,000
2033	26,840,000	5,279,000	32,119,000				26,840,000	5,279,000	32,119,000
2034	18,930,000	4,068,000	22,998,000				18,930,000	4,068,000	22,998,000
2035	18,930,000	3,173,500	22,103,500				18,930,000	3,173,500	22,103,500
2036	18,930,000	2,253,000	21,183,000				18,930,000	2,253,000	21,183,000
2037	16,395,000	1,332,500	17,727,500				16,395,000	1,332,500	17,727,500
2038	7,120,000	607,250	7,727,250				7,120,000	607,250	7,727,250
2039	3,945,000	251,250	4,196,250				3,945,000	251,250	4,196,250
2040	1,080,000	54,000	1,134,000				1,080,000	54,000	1,134,000
TOTAL	<u>\$384,785,000</u>	<u>\$98,309,973</u>	<u>\$483,094,973</u>	<u>\$46,220,000</u>	<u>\$7,784,950</u>	<u>\$54,004,950</u>	<u>\$431,005,000</u>	<u>\$106,094,923</u>	<u>\$537,099,924</u>

Source: The District.

Authorized but Unissued Bonds

The District has no remaining authorized but unissued general obligation bonds from the 2021 Bond Election. The District also expects to call another bond election in November 2025 to seek an additional \$350 million of bonding authority to be issued over a 4-year period beginning in 2026.

Statement of Estimated Direct and Overlapping Debt

The following is a calculation of the debt load and per capita debt of the District payable from property taxes. In addition to outstanding debt of the District, the calculation takes into account debt attributable to overlapping taxing entities which is the responsibility of taxpayers within the boundaries of the District. Revenue bonds are not included and are payable from sources other than property taxes.

Table 14
Estimated Direct and Overlapping Debt

Equity	2024 Assessed Value	G/O Debt Outstanding ⁽¹⁾	Percent Applicable	Amount
State of New Mexico	\$108,183,361,964	\$558,775,000	20.23%	\$113,040,183
City of Albuquerque	17,470,192,994	429,071,000	100.00%	429,071,000
Bernalillo County	21,448,181,032	108,070,000	97.99%	105,897,793
Sandoval County	5,909,718,948	6,940,000	9.70%	673,180
Central New Mexico Community College	25,961,559,392	138,805,000	84.31%	117,026,496
Village of Los Ranchos	347,902,511	7,018,000	100.00%	7,018,000
Albuquerque Metropolitan Arroyo Flood Control Authority	20,336,890,582	47,320,000	100.00%	47,320,000
S. Sandoval County Arroyo Flood Control Authority	4,661,558,070	18,755,000	12.16%	2,280,608
Albuquerque Municipal School District No. 12	21,888,177,219	431,005,000	100.00%	431,005,000
Total Direct & Overlapping Debt				\$1,253,332,260
Ratio of Estimated Direct & Overlapping Debt to 2024 Assessed Valuation:				5.73%
Ratio of Estimated Direct & Overlapping Debt to 2024 Estimated Actual Valuation:				1.59%
Per Capita Direct & Overlapping Debt:				\$1,852.39
Estimated Population:				676,685

Source: Bernalillo and Sandoval County Assessor's Office, State Assessed Property Tax Division and individual entities.

LITIGATION

There is no action, suit, proceeding, inquiry, investigation or controversy of any nature pending, or to the District's knowledge threatened, involving the District (i) in any way questioning (A) the authority of any officer of the District to exercise the duties and responsibilities of his or her office or (B) the existence, powers or authority of the District material to the Series 2025B Bonds or the security for the Series 2025B Bonds; (ii) seeking to restrain or enjoin the issuance, sale, execution or delivery of, or the performance by the District of its obligations under, the Series 2025B Bonds; (iii) in any way contesting or affecting (A) the issuance, sale, execution or delivery of the Series 2025B Bonds, (B) the defeasance and refunding of the Series 2015 Bonds, or (C) the validity or enforceability of the Series 2025B Bonds, any of the documents relating to the Series 2025B Bonds or any action contemplated by or pursuant to any of the foregoing; (iv) which, except as and to the extent disclosed below may result, either individually or in the aggregate, in final judgments against the District materially adversely affecting its financial condition; or (v) asserting that the Preliminary Official Statement or the Official Statement contained or contains any untrue statement of a material fact or omitted or omits to state any material fact necessary to make the statements therein, in the light of the circumstances under which they were made, not misleading. On the Closing Date, the District will deliver a no-litigation certificate as to the foregoing.

Litigation Relating to State Education System

The State's process to fund public education on a uniform and adequate basis has been challenged in various courts, including the First and Eleventh Judicial District Courts. In 2014, two different plaintiff groups filed lawsuits in the First Judicial District Court for the State of New Mexico in Santa Fe County, each of which challenged the sufficiency of school funding and the school funding formula, specifically as applied and related to the needs of at-risk students. The two lawsuits were consolidated (*Martinez, et al. v. the State of New Mexico* consolidated with *Yazzie, et al. v. the State of New Mexico*, No. D-101-CV-2014-00793) and proceeded to a bench trial in the summer of 2017. On February 14, 2019, the Court entered a Final Judgment and Order. The Court concluded that the State violated the Education Clause, the Equal Protection Clause, and the Due Process Clause of the New Mexico Constitution. The Court required the State to take necessary steps to ensure schools have resources, including funding and accountability measures, to give at-risk students an opportunity to obtain a sufficient education. In response, during the 2019 Regular Session, the Legislature increased public school funding by approximately \$400 million and funding has been increased each year since the Final Judgment and Order. The court has not indicated whether this will be sufficient to satisfy the requirements of the Judgment. The Court has made no substantive rulings in the last 2 years. The Decision is expected to continue to affect future funding for all school age students. It is premature to assess what ongoing effect these lawsuits may have on the State's school financing system, or the District. The legislature has responded to the lawsuit by increasing funding for education in each fiscal year since the decision was rendered.

In 1998, the Zuni Public School District filed a lawsuit in the Eleventh Judicial District Court for the State of New Mexico in McKinley County (*Zuni Public School District, et al., v. the State of New Mexico, et al.*, No. D-1113-CV-9800014) seeking a declaratory judgment that the State's method of funding of capital improvements for public schools violated the State Constitution's requirement to provide for a uniform and adequate system of funding capital improvements, specifically as applied and related to the needs of the students of Gallup-McKinley. On December 29, 2020, the trial court filed a Decision and Order ruling in favor of the Plaintiffs. On June 18, 2021, the State filed a Notice of Appeal with the New Mexico Court of Appeals. The appeal operates as an automatic stay of the District Court's judgment.

As these educational funding litigation cases go through potential appeals, post-trial procedures and any remedial measures, the outcomes of such litigation may impact the State's education funding processes for all school age students and could impact the State's school financing system and the District; however, the extent of such impact is currently unknown.

New Mexico Tort Claims Act Limitations

The New Mexico Tort Claims Act limits liability to (i) \$200,000 for damage to or destruction of property arising out of a single occurrence, (ii) \$300,000 for all past and future medical and medically-related expenses arising out of a single occurrence, (iii) \$400,000 to any person for any number of claims arising out of a single occurrence for all damages other than property damage and medical and medically-related expenses, as permitted under the New Mexico Tort Claims Act, and (iv) \$750,000 for all claims other than medical or medically-related expenses arising out of a single occurrence. The Tort Claims Act makes provision for pro-rata payment of claims in the event the Fund would be exhausted by payment of all claims allowed during a particular fiscal year. The statutory cap on damages recoverable under the Tort Claims Act has not been adjusted for many years, and it is reasonable to expect that the legislature may amend the statute to increase the cap on damages at some point in the coming years.

Risk Management

The District is exposed to various risks of loss related to theft of, damage to and destruction of assets; errors and omissions; and injuries to employees. The District is registered with the State of New Mexico Insurance Commission (the “Commission”) as a self-insured entity for workers’ compensation, property and liability coverage. However, the District has purchased excess coverage policies that cover losses over \$650,000, \$250,000 and \$350,000 for workers’ compensation, property and liability, respectively. In order to self-insure, the Commission requires that the District restrict its cash balance in an amount equal to the estimated workers’ compensation claim liability, excluding incurred but not reported claims. The District is self-insured for group health and offers other employee related benefits through several providers. The District is not responsible for charter school liability.

TAX MATTERS

In the opinion of Modrall, Sperling, Roehl, Harris & Sisk, P.A., Bond Counsel, to be delivered at the time of original issuance of the Series 2025B Bonds, under existing laws, regulations rulings and judicial decisions, and assuming compliance with covenants described herein, interest on Series 2025B Bonds is excludable from gross income for federal income tax purposes and is not an item of tax preference under Section 57 of the Code (as defined below) for purposes of the federal alternative minimum tax imposed for the owners thereof. However, interest on the Series 2025B Bonds is included in the “adjusted financial statement income” of certain corporations that are subject to the alternative minimum tax under Section 55 of the Code. Bond Counsel is also of the opinion, based on existing laws of the State of New Mexico as enacted and construed, that interest on the Series 2025B Bonds is exempt from all taxation by the State of New Mexico or any political subdivision thereof.

The Internal Revenue Code of 1986, as amended (the “Code”), imposes various restrictions, conditions and requirements relating to the exclusion from gross income for federal tax purposes of interest on obligations such as the Series 2025B Bonds. The District has made various representations and warranties with respect to, and has covenanted in the resolution authorizing issuance of the Series 2025B Bonds and other documents, instruments and certificates to comply with the applicable provisions of the Code to assure that interest on the Series 2025B Bonds will not become includible in gross income, although the interest may be includible for alternative minimum tax purposes. Failure to comply with these covenants or the inaccuracy of these representations and warranties may result in interest on the Series 2025B Bonds being included in gross income from the date of issue of the Series 2025B Bonds. The opinions of Bond Counsel assume compliance with the covenants and the accuracy of such representations and warranties.

Although Bond Counsel will render opinions that interest on the Series 2025B Bonds is excludable from gross income for federal income tax purposes, the accrual or receipt of interest on the Series 2025B Bonds may otherwise affect the federal income tax liability of the recipient. The extent of these other tax consequences will depend upon the recipient’s particular tax status or other items of income or deduction. Bond Counsel expresses no opinion regarding any such consequences. Before purchasing any of the Series 2025B Bonds, potential purchasers should consult their tax advisors as to the tax consequences of purchasing or owning the Series 2025B Bonds.

The opinions expressed by Bond Counsel are based upon existing law as of the date of issuance and delivery of the Series 2025B Bonds, and Bond Counsel expresses no opinion as of any date subsequent thereto or with respect to any pending legislation.

From time to time, there are legislative proposals in Congress that, if enacted, could alter or amend the federal tax matters referred to above or adversely affect the market value of the Series 2025B Bonds. It

cannot be predicted whether or in what form any such proposal might be enacted or whether if enacted, it would apply to Series 2025B Bonds issued prior to enactment. Each purchaser of the Series 2025B Bonds should consult his or her own tax advisor regarding any pending or proposed federal tax legislation. Bond Counsel expresses no opinion regarding any pending or proposed federal tax legislation.

Internal Revenue Service Audit Program

The Internal Revenue Service (the “Service”) has an ongoing program auditing tax-exempt obligations to determine whether, in the view of the Service, interest on such tax-exempt obligations is includable in the gross income of the owners thereof for federal income tax purposes. No assurances can be given as to whether the Service will commence an audit of the Series 2025B Bonds. If an audit is commenced, under current procedures the Service will treat the District as the taxpayer and the Bond owners may have no right to participate in such procedure. Neither the initial purchasers of the Series 2025B Bonds nor Bond Counsel is obligated to defend the tax-exempt status of the Series 2025B Bonds. The District has covenanted in the Bond Resolution not to take any action that would cause the interest on the Series 2025B Bonds to become includable in gross income except to the extent described above for the owners thereof for federal income tax purposes. None of the District, the initial purchasers of the Series 2025B Bonds, or Bond Counsel is responsible to pay or reimburse the costs of any Bond owner with respect to any audit or litigation relating to the Series 2025B Bonds.

Original Issue Premium

The Series 2025B Bonds were offered at a premium (“original issue premium”) over their principal amount. For federal income tax purposes, original issue premium is amortizable periodically over the term of a Bond through reductions in the holders’ tax basis in the Series 2025B Bonds for determining taxable gain or loss from sale or from redemption prior to maturity. Amortizable premium is accounted for as reducing the tax-exempt interest on the Series 2025B Bonds rather than creating a deductible expense or loss. Holders of Series 2025B Bonds offered at an original issue premium should consult their tax advisor for an explanation of the amortization rules.

Post-Issuance Tax Compliance Procedures

The District has previously adopted post-issuance tax compliance procedures which will be utilized in connection with investment and expenditure of the proceeds of the Series 2025B Bonds and the use of projects funded with such proceeds.

CONTINUING DISCLOSURE UNDERTAKING

In connection with its issuance of the Series 2025B Bonds, the District will execute a Continuing Disclosure Undertaking for the Series 2025B Bonds, the form of which is attached as Appendix D hereto, under which it will agree for the benefit of the owners of Series 2025B Bonds (i) to provide audited annual financial statements of the District when available after the end of each Fiscal Year, commencing Fiscal Year 2025, and to provide certain annual financial information and operating data relating to the District by March 31st of the following Fiscal Year, and (ii) to provide timely notice of certain enumerated events in accordance with the requirements of the Rule.

In prior years, certain continuing disclosure filings were not properly attributed to all applicable CUSIP numbers for the District’s bonds, however, such filings have since been properly associated with all related CUSIP numbers. For the past five years, the District has complied in all material respects with its existing continuing disclosure undertakings in accordance with the Rule.

LEGAL MATTERS

In connection with the issuance and sale of the Series 2025B Bonds, Modrall, Sperling, Roehl, Harris & Sisk, P.A., Albuquerque, New Mexico, as Bond Counsel, expect to deliver the opinion attached in Appendix C hereto. Certain legal matters relating to the Series 2025B Bonds will be passed upon for the District by Disclosure Counsel, Taft Stettinius & Hollister LLP, Albuquerque, New Mexico. Neither Disclosure Counsel nor Bond Counsel have participated in any independent verification of the information concerning the financial condition of the District contained in this Official Statement.

The District will furnish to the Underwriters a complete transcript of proceedings incident to the authorization and issuance of the Series 2025B Bonds. Although it may represent the Municipal Advisor and the Underwriters from time to time in matters unrelated to the issuance of the Series 2025B Bonds, Bond Counsel has been engaged by and only represents the District in the issuance of the Series 2025B Bonds. Such firm has reviewed the information appearing in this Official Statement and Bond Counsel is of the opinion that the information relating to the Series 2025B Bonds and legal matters contained herein is an accurate and fair description of the laws and legal issues addressed therein and, with respect to the Series 2025B Bonds, such information conforms to the Bond Resolution. The legal fees to be paid to Bond Counsel and Disclosure Counsel for services rendered in connection with the issuance of the Series 2025B Bonds are contingent upon the sale and delivery of the Series 2025B Bonds. Certain legal matters will be passed upon for the Underwriters by their counsel, McCall, Parkhurst & Horton L.L.P., Dallas, Texas whose fee is contingent upon the sale and delivery of the Series 2025B Bonds.

The various legal opinions to be delivered concurrently with the delivery of the Series 2025B Bonds express the professional judgment of the attorneys rendering the opinion as to the legal issues explicitly addressed therein. In rendering a legal opinion, the attorney does not become an insurer or guarantor of that expression of professional judgment, of the transaction opined upon or of the future performance of the parties to the transaction. Nor does the rendering of an opinion guarantee the outcome of any legal dispute that may arise out of the transaction.

INDEPENDENT ACCOUNTANTS

Moss-Adams LLP audited the financial statements of the District as of and for the year ended June 30, 2024 and delivered their report to the New Mexico State Auditor and the District. The complete Comprehensive Annual Financial Report of the District – Audited General Purpose Financial Statements – as of and for the Fiscal Year ended June 30, 2024, as well as for previous fiscal years, are public documents and are available from the New Mexico State Auditor’s website at <https://www.osa-app.org/auditreportsearch.aspx>. An excerpt from the 2024 audit is included in Appendix A to this Official Statement. Moss-Adams LLP has not been engaged to review this Official Statement or any information contained herein.

UNDERWRITING

The Underwriters have agreed to purchase the Series 2025B Bonds from the District pursuant to a Bond Purchase Agreement dated July 22, 2025 (the “Bond Purchase Agreement”). The Underwriters agreed to purchase the Series 2025B Bonds for a price of \$49,487,880.41 (being the par amount of the Series 2025B Bonds, plus an aggregate reoffering premium of \$3,404,268.35 and less an Underwriters’ discount of \$136,387.94).

The Bond Purchase Agreement provides that the Underwriters will purchase all of the Series 2025B Bonds if any are purchased. The obligation to make such purchase is subject to certain terms and conditions set forth in the Bond Purchase Agreement, including the approval of certain legal matters by counsel and

certain other conditions. The prices at which the Series 2025B Bonds are offered to the public (and the yields resulting therefrom) may vary from the initial public offering prices appearing on the inside cover page of this Official Statement. In addition, the Underwriters may allow commissions or discounts from such initial offering prices to dealers and others.

A Stifel employee is a member of the Albuquerque Public Schools Education Foundation Board.

The Underwriters and their affiliates comprise a full-service financial institution engaged in activities which may include sales and trading, commercial and investment banking, advisory, investment management, investment research, principal investment, hedging, market making, brokerage and other financial and non-financial activities and services. The Underwriters and their affiliates may have provided, and may in the future provide, a variety of these services to the District and to persons and entities with relationships with the District, for which they received or will receive customary fees and expenses.

In the ordinary course of these business activities, the Underwriters and their affiliates may purchase, sell or hold a broad array of investments and actively trade securities, derivatives, loans and other financial instruments for their own account and for the accounts of their customers, and such investment and trading activities may involve or relate to assets, securities and/or instruments of the District (directly, as collateral securing other obligations or otherwise) and/or persons and entities with relationships with the District.

The Underwriters and their affiliates may also communicate independent investment recommendations, market color or trading ideas and/or publish or express independent research views in respect of such assets, securities or instruments and may at any time hold, or recommend to clients that they should acquire such assets, securities and instruments. Such investment and securities activities may involve securities and instruments of the District.

The Underwriters have reviewed the information in this Official Statement in accordance with, and as part of, their respective responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or completeness of such information.

RATING

S&P Global Ratings (“S&P”) has assigned the Series 2025B Bonds a rating of “AA” without regard to any enhancement program. Such rating reflects only the views of S&P, and the District makes no representation as to the appropriateness of such rating. An explanation of the significance of the rating may only be obtained from S&P. The District has furnished to S&P certain information and materials relating to the Series 2025B Bonds and the District, some of which may not have been included in this Official Statement. Generally, rating agencies base their ratings on such information and materials and on investigation, studies and assumptions by the rating agencies. The rating is not a recommendation to buy, sell or hold the Series 2025B Bonds, and there can be no assurance that a rating when assigned will continue for any given period of time or that it will not be lowered or withdrawn entirely by the rating agency if, in its judgment, circumstances so warrant. Any downward change in or withdrawal of the rating may have an adverse effect on the marketability and/or market price of the Series 2025B Bonds.

ADDITIONAL INFORMATION

All quotations from, and summaries and explanations of, the statutes, regulations and documents contained herein do not purport to be complete and reference is made to said laws, regulations and documents for full and complete statements of their provisions. Copies, in reasonable quantity, of such

laws, regulations and documents may be obtained during the offering period upon request directly to the District at P.O. Box 25704, 6400 Uptown Boulevard. NE, Suite 305E, Albuquerque, New Mexico 87125-0704, Attention: Chief Financial Officer.

Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and not as representations of fact. This Official Statement is not to be construed as a contract or agreement between the District and the purchasers or owners of any of the Series 2025B Bonds.

APPROVAL BY THE DISTRICT

This Official Statement has been duly authorized and approved by the District and has been executed and delivered by the President of the District Board on behalf of the District.

ALBUQUERQUE MUNICIPAL SCHOOL
DISTRICT NO. 12 BERNALILLO AND
SANDOVAL COUNTIES, NEW MEXICO

By: /s/ Danielle Gonzales
President, Board of Education

SCHEDULE I

REFUNDED BONDS

District's General Obligation School Bonds, Series 2015

Maturities Being Redeemed	CUSIP	Principal Amount Outstanding	Interest Rate	Principal Amount Being Refunded	Call Date
08/01/2026	013595TZ6	\$6,000,000	5.000%	\$6,000,000	08/19/2025
08/01/2027	013595UA9	6,000,000	5.000%	6,000,000	08/19/2025
08/01/2028	013595UB7	12,300,000	4.000%	12,300,000	08/19/2025
08/01/2029	013595UC5	12,300,000	4.000%	12,300,000	08/19/2025
08/01/2030	013595UD3	12,500,000	4.000%	12,500,000	08/19/2025

APPENDIX A

AUDITED FINANCIAL STATEMENTS FOR FISCAL YEAR ENDING JUNE 30, 2024

APPENDIX B

ECONOMIC, DEMOGRAPHIC AND FINANCIAL INFORMATION

This portion of the Official Statement contains general information concerning the historic economic and demographic conditions in the District. This portion of the Official Statement is intended only to provide prospective investors with general information regarding the District's community. The information was obtained from the sources indicated and is limited to the time periods indicated. The District makes no representation as to the accuracy or completeness of data obtained from parties other than the District. The information is historic in nature; it is not possible to predict whether the trends shown will continue in the future.

The District and Metropolitan Area

The area within the District is part of the Albuquerque Metropolitan Statistical Area ("MSA") which includes the Counties of Bernalillo, Sandoval, Torrance and Valencia. The District includes 97.4% of Bernalillo County and 2.6% of Sandoval County based on assessed valuation. Accordingly, economic and demographic provided below for the Albuquerque MSA is derived from an area larger than the District.

The District is crossed by Interstate Highways 25 and 40 and is served by the Burlington Northern and Santa Fe Railroad and the Sunport International Airport. Located at the center of the State, the Albuquerque MSA is the major trade, commercial and financial center of the State.

Population

Year	City	Bernalillo County	Albuquerque MSA	State
1980	332,920	420,262	-- ⁽¹⁾	1,303,303
1990	384,736	480,577	589,131	1,515,069
2000	448,607	556,678	729,649 ⁽²⁾	1,819,046
2010	545,852	662,564	887,077	2,059,179
2020	564,559	676,444	916,528	2,117,522
2023 ⁽³⁾	560,274	671,586	922,296	2,130,256

(1) Valencia County was split into two counties in 1981 and official data is not available prior to that year for the Albuquerque MSA.

(2) The Census in 2000 expanded the Albuquerque MSA to include Torrance County.

(3) 2020 decennial census U.S. Department of Commerce, Bureau of the Census.

Source: U.S. Census Bureau, Population Division.

Age Distribution

The following table sets forth a projected comparative age distribution profile for the City, the Metropolitan Statistical Area, the State and the United States as of January 1, 2025.

Percent of Population By Age Group

Age	City	Albuquerque MSA	State	United States
0-17	19.5%	19.8%	20.9%	21.0%
18-24	9.3	9.2	10.0	9.6
25-34	14.5	13.4	13.0	13.2
35-44	14.5	13.8	12.9	13.2
45-54	12.0	11.9	11.2	12.1
55-64	11.6	12.1	11.7	12.3
65-74	10.7	11.4	11.7	10.6
75 and Older	8.1	8.4	8.6	7.9

Source: © Claritas, LLC 2025.

Employment

The information on non-agricultural employment for the State and the Albuquerque MSA reported in the following table represents estimates by the New Mexico Department of Workforce Solutions and U.S. Bureau of Labor statistics. More detailed information on non-agricultural employment can be found below under “Historical Employment by Sector” in the table entitled “Estimated Non-Agricultural Wage and Salary Employment for the Albuquerque MSA Fiscal Years 2015-2024”.

Non-Agricultural Employment (000s)

Fiscal Year	<u>ALBUQUERQUE MSA</u>		<u>NEW MEXICO</u>		<u>UNITED STATES</u>	
	Employment	% Chg.	Employment	% Chg.	Employment	% Chg.
2014	375	0.5%	812	0.8%	137,537	1.9%
2015	379	1.0	823	1.4	140,410	2.1
2016	384	1.4	825	0.3	143,086	1.9
2017	388	1.0	826	0.1	145,532	1.7
2018	391	0.8	834	0.9	147,738	1.5
2019	396	1.2	847	1.6	149,923	1.5
2020	390	-1.6	836	-1.3	147,062	-1.9
2021	377	-3.3	793	-5.1	142,970	-2.8
2022	398	5.5	836	5.3	149,783	4.8%
2023	411	3.4	865	3.5	154,518	3.
2024	419	1.8	880	1.8	156,988	1.6

(1) Data from U.S. Department of Labor (Seasonally Adjusted) Fiscal Year Average.

Albuquerque Civilian Employment/Unemployment Rates

Unemployment Rates⁽²⁾

Fiscal Year	Civilian Labor Force ⁽¹⁾	Number Employed ⁽¹⁾	Albuquerque MSA	New Mexico	United States
2014	420.7	390,702	6.5%	6.6%	6.1%
2015	425.4	395,574	6.3	6.7	5.3
2016	431.5	401,969	6.2	6.8	4.9
2017	436.0	409,050	5.7	6.1	4.3
2018	435.4	412,210	4.5	4.7	4.0
2019	439.3	415,477	4.7	4.9	3.6
2020	423.2	383,397	8.9	9.0	11.0
2021	437.9	403,381	6.9	7.4	5.9
2022	440.3	420,983	3.6	3.9	3.6
2023	453.1	434,745	3.5	3.6	3.6
2024	458.0	437,347	3.6	3.9	4.1

(1) U.S. Department of Labor (Not Seasonally Adjusted) as of June of each Fiscal Year.

(2) U.S. Department of Labor (Not Seasonally Adjusted) as of June of each Fiscal Year.

Source: United States Department of Labor.

The following table lists the major employers in the Albuquerque area and their estimated number of full-time employees for 2024.

MAJOR EMPLOYERS IN THE ALBUQUERQUE AREA⁽¹⁾

By Number of Employees – 2024

Organization	Employees	Description
Sandia National Labs	13,361	Science-Based Technologies that Support National Security
Presbyterian Health System ⁽³⁾	12,644	Hospital/Medical Services
Albuquerque Public Schools	11,867	Public School District
UNM Hospital	7,256	Hospital/Medical Services
City of Albuquerque	7,020	Government
University of New Mexico ⁽²⁾	4,641	Educational Institution
Kirtland Air Force Base (Military)	4,100	Air Force Materiel Command
State of New Mexico	3,946	Government
Kirtland Air Force Base (Civilian)	3,700	Air Force Materiel Command
NM Veterans Affairs Healthcare System	3,240	Hospital/Medical Services

(1) For a discussion regarding major employers and certain changes which may impact their number of employees, see “Major Industries” under this caption.

(2) UNM changed its reporting structure to remove student employment from its fact book. This accounted for nearly 10,000 employees in 2024 for the Hospital and Main Campus.

(3) Does not include 253 agency and contract full-time employees.

Source: City of Albuquerque Annual Comprehensive Financial Report for year ended June 30, 2024 except for Presbyterian, which was adjusted to reflect only those Presbyterian employees located in Albuquerque.

Historical Employment by Sector

The following table describes by industry sector the estimated non-agricultural wage and salary employment for the Albuquerque MSA during the past ten years.

ESTIMATED NON-AGRICULTURAL INDUSTRY EMPLOYMENT - ALBUQUERQUE MSA
CALENDAR YEARS 2015-2024
(number of employees in thousands)

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2023 to 2024	Annual Average Growth 2015-2024	Sector Share 2024 ⁽¹⁾	
													<u>ABQ</u>	<u>U.S.*</u>
Total Nonagricultural	361.4	367.5	371.9	375.4	379.6	374.8	361.0	380.7	393.5	399.9	1.6%	1.1%	100.0%	100.00%
Natural Resources/Mining/Constr.	20.6	21.0	22.4	24.2	24.2	24.8	25.1	26.0	27.2	27.9	2.3	3.4	7.0	5.6
Manufacturing	16.4	16.4	15.6	15.7	16.2	16.3	15.9	16.6	17.0	17.0	-0.2	0.4	4.2	8.1
Trade Transportation and Utilities	62.4	62.7	62.5	62.5	62.3	60.5	60.9	65.9	68.2	67.3	-1.3	0.9	16.8	18.3
• Wholesale Trade	11.6	11.7	11.6	11.5	11.5	11.3	10.7	11.0	11.5	11.5	0.4	-0.1	2.9	3.9
• Retail Trade	41.7	42.0	41.6	41.6	41.3	39.7	40.4	41.7	42.4	42.1	-0.6	0.1	10.5	9.8
Information	7.6	7.8	7.8	7.2	6.5	5.6	4.9	5.4	5.7	5.3	-6.2	-3.8	1.3	1.9
Financial Activities	16.6	17.0	17.3	17.7	18.2	18.3	17.8	18.1	18.5	18.0	-2.8	0.9	4.5	5.8
Professional and Business Services	55.5	56.0	57.5	59.2	60.7	61.4	59.7	62.3	63.8	65.1	2.0	1.8	16.3	14.3
Educational and Health Services	56.2	58.5	59.7	59.7	60.9	61.4	60.9	61.7	64.5	66.2	2.7	1.8	16.6	16.8
Leisure and Hospitality	41.7	42.4	43.1	43.7	44.3	40.5	34.3	41.7	44.3	45.5	2.6	1.0	11.4	10.6
Other Services	9.5	9.5	9.8	9.8	10.0	9.4	8.8	9.3	9.9	10.3	3.7	0.9	2.6	3.8
Government	75.4	76.7	76.8	76.3	76.8	77.1	73.2	74.3	75.0	77.9	3.9	0.4	19.5	14.8
LOCAL GOVERNMENT	39.7	39.8	39.6	39.4	39.9	39.7	35.7	37.0	37.3	38.9	4.1	-0.2	9.7	9.4
STATE GOVERNMENT	21.5	22.6	22.8	22.7	22.6	22.8	22.7	22.7	23.1	24.1	4.6	1.3	6.0	3.4
FEDERAL GOVERNMENT	14.2	14.3	14.4	14.3	14.3	14.6	14.9	14.6	14.6	14.9	2.1	0.5	3.7	1.9

(1) Sector share for U.S. local government includes state and local government.

Sources: Albuquerque: UNM Bureau of Business and Economic Research (January 2025); U.S. Bureau of Labor Statistics (June 2024).

BUILDING PERMITS ISSUED IN THE CITY OF ALBUQUERQUE

	Single Family		Multi-Family		Commercial		Public		Additions & Alterations	Total Permits
Fiscal Year	Permits	\$ Value	Units	\$ Value	Permits	\$ Value	Permits	\$ Value	\$ Value	\$ Value
2015	871	167,352,011	449	39,390,742	112	116,776,561	10	17,257,410	165,159,484	505,936,208
2016	915	184,770,209	567	43,676,768	88	119,913,663	13	27,886,373	230,591,376	606,838,389
2017	971	183,587,235	984	60,907,961	132	242,802,744	9	25,894,927	298,194,709	811,387,576
2018	1,331	255,446,287	148	13,335,366	105	68,312,826	12	8,325,621	195,051,789	532,146,267
2019	827	169,706,112	7	65,153,371	68	110,847,882	--	--	206,136,708	551,844,074
2020	935	221,266,728	126	13,687,955	80	164,840,741	--	--	263,966,827	663,762,251
2021	800	196,658,530	791	53,609,394	98	182,016,813	--	--	233,545,558	665,830,295
2022	741	184,797,978	38	175,655,260	163	138,326,053	--	--	225,890,806	724,670,097
2023	580	93,355,020	482	25,184,067	75	184,703,384	--	--	319,051,977	622,294,448
2024	607	120,097,657	1,158	192,978,288	65	179,972,583	--	--	321,712,176	814,760,704
Growth 2023 to 2024	4.7%	28.6%	140.2%	666.3%	-13.3%	-2.6%	N/A	N/A	0.8%	30.9%

Below

Total Housing Units in the City of Albuquerque	Total Units	Single Family	Multi-Family	Mobile Homes & Others
As of 1990 Census	166,870	101,780	55,931	9,159
As of 2000 Census	198,714	126,643	63,285	8,786
As of 2010 Census	239,166	162,501	66,839	9,826
As of 2020 Census	398,585	286,583	78,920	33,880

Sources: City of Albuquerque Planning Department; Census Bureau, U.S. Department of Commerce.

Income

The following table sets forth annual per capita personal income levels for the Albuquerque MSA, the State and the United States. The Bureau of Economic Analysis defines “earnings” to include wages and salaries, proprietor’s income and other labor income (such as bonuses).

Per Capita Personal Income

Calendar Year	Albuquerque MSA	New Mexico	United States
2012	\$26,068	\$23,749	\$28,051
2013	25,407	23,763	28,155
2014	26,144	23,948	28,555
2015	25,992	24,012	28,930
2016	26,569	24,459	29,829
2017	27,388	25,257	31,177
2018	28,342	26,085	32,621
2019	29,747	27,230	34,103
2020	30,397	27,945	35,384
2021	32,622	29,624	37,638
2022	36,043	32,667	41,261
2023	38,300	34,823	43,289

Source: Bureau of Economic Analysis, U.S. Department of Commerce ACS 5-Year Estimates.

The following table reflects the Percent of Households by Effective Buying Income Groups (“EBI”). EBI is defined as money income less personal tax and non-tax payments described below. Money income is the aggregate of wages and salaries, net farm and nonfarm self-employment income, interest, dividends, net rental and royalty income, Social Security and railroad retirement income, other retirement and disability income, public assistance income, unemployment compensation, Veterans Administration payments, alimony and child support, military family allotments, net winnings from gambling, and other periodic income. Deducted from this total money income are personal income taxes, personal contributions to social insurance (Social Security and federal retirement payroll deductions), and taxes on owner-occupied non-business real estate. Receipts from the following sources are not included as money income: money received from the sale of property; the value of “in kind” income such as food stamps, public housing subsidies, and employer contributions for persons; withdrawal of bank deposits; money borrowed; tax refunds; exchange of money between relatives living in the same household; gifts and lump-sum inheritances, insurance payments, and other types of lump-sum receipts.

**Estimated Percent of Households by
Effective Buying Income Groups**

2025 Projected Effective Buying Income Group⁽¹⁾	Albuquerque MSA Estimated Percent	New Mexico Estimated Percent	United States Estimated Percent
Under \$24,999	17.1%	19.8%	14.9%
\$25,000 - \$34,999	7.7	8.8	7.8
\$35,000 - \$49,999	14.6	14.6	12.6
\$50,000 - \$74,999	19.2	19.1	18.5
\$75,000 - \$99,999	14.9	13.9	14.6
\$100,000 - \$124,999	10.5	9.6	10.3
\$125,000 - \$149,999	5.5	5.0	6.3
\$150,000 - \$199,999	5.3	4.8	6.4
Over \$200,000	1.0	4.5	8.4
Estimated Median Household Effective Buying Income⁽²⁾⁽³⁾			
2020 Est. Median Household Income	\$46,664	\$43,201	\$54,686
2021 Est. Median Household Income	46,861	43,401	56,093
2022 Est. Median Household Income	56,517	50,493	63,680
2023 Est. Median Household Income	58,508	52,527	64,600
2024 Est. Median Household Income	60,258	55,579	67,310
2025 Est. Median Household Income	63,028	58,118	69,245

(1) Estimated snapshots of income groups on January 1, 2025.

(2) Annual estimated snapshots of effective buying income on January 1st of each year.

(3) The difference between consecutive years is not an estimate of change from one year to the next; combinations of data are used each year to identify the estimated mean of income from which the median is computed.

Source: © 2020-2021 by Environics Analytics (EA); and © Claritas, LLC 2022-2025.

APPENDIX C

[Form of Bond Counsel Opinion – 2025B Bonds]

August 19, 2025

Board of Education
Albuquerque Municipal School District No. 12
Albuquerque, New Mexico

**Re: \$46,220,000 Albuquerque Municipal School District No. 12 General Obligation
Refunding Bonds, Series 2025B**

Ladies and Gentlemen:

We have acted as bond counsel to the Albuquerque Municipal School District No. 12 (the “District”) in connection with the issuance of its \$46,220,000 General Obligation Refunding Bonds, Series 2025B (the “Bonds”), dated August 19, 2025, with interest payable on February 1, 2026, and semi-annually thereafter on each August 1 and February 1 until maturity, and being bonds in registered form maturing on August 1 in the years 2026 to 2030.

We have examined the laws of the State and the United States of America relevant to the opinions herein, the transcript of proceedings (the “Transcript”) and other documents relevant to the issuance of the Bonds by the District. As to the questions of fact material to our opinion, we have relied upon representations of the District contained in the proceedings and other certifications furnished to us, without undertaking to verify the same by independent investigation.

Based upon the foregoing, and subject to the assumptions and qualifications set forth below, we are of the opinion that, under existing law on the date of this opinion:

1. The Bonds constitute valid and binding general obligations of the District and are to be paid from the proceeds of the levy of ad valorem taxes on all taxable property within the District without limitation as to rate or amount.

2. Under existing laws, regulations, rulings and judicial decisions, interest on the Bonds is excludable from gross income for federal income tax purposes. We are also of the opinion that interest on the Bonds is not a specific preference item for purposes of calculating the alternative minimum tax imposed on individuals under provisions contained in the Internal Revenue Code of 1986, as amended (the “Code”). Although we are of the opinion that interest on the Bonds is excludable from gross income for federal income tax purposes, the accrual or receipt of interest on the Bonds may otherwise affect the federal income tax liability of the recipient. The extent of these other tax consequences will depend upon the recipient’s particular tax status or other items of income or deduction. We express no opinion regarding any such consequences.

3 The Bonds and the income from the Bonds are exempt from all taxation by the State or any political subdivision thereof.

The opinions expressed herein are based upon existing law as of the date of issuance and delivery of the Bonds. We express no opinion as of any date subsequent hereto, and our engagement with respect to the Bonds has concluded with their issuance. We disclaim any obligation to update this opinion.

The obligations of the District related to the Bonds are subject to the reasonable exercise in the future by the State and its governmental bodies of the police power inherent in the sovereignty of the State and to the exercise by the United States of the powers (including bankruptcy powers) delegated to it by the United States Constitution. The obligations of the District and the security provided therefor may be subject to general principles of equity which permit the exercise of judicial discretion and are subject to the provisions of applicable bankruptcy, insolvency, reorganization, moratorium or similar laws relating to or affecting the enforcement of creditors' rights generally, now or hereafter in effect.

The foregoing opinions represent our legal judgment based upon a review of existing legal authorities as of the date of issuance and delivery of the Bonds that we deem relevant to render such opinions and are not a guarantee of result. We express no opinion with respect to any pending legislation.

As bond counsel, we are passing upon only those matters set forth in this opinion and are not passing upon the accuracy or completeness of any statement made in connection with any sale of the Bonds or upon any tax consequences arising from the receipt or accrual of interest on, or the ownership of, the Bonds except those specifically addressed in Paragraphs 2 and 3 above.

Respectfully submitted,

APPENDIX D

FORM OF CONTINUING DISCLOSURE UNDERTAKING

Section 1. Recitals. This Continuing Disclosure Undertaking (the “Undertaking”) is executed and delivered by the Albuquerque Municipal School District No. 12, Bernalillo and Sandoval Counties, New Mexico (the “District”), in connection with its \$46,220,000 General Obligation Refunding Bonds, Series 2025B (the “Bonds”). The Bonds are being issued pursuant to a Bond Resolution adopted April 16, 2025 (the “Bond Resolution”). Pursuant to the Bond Resolution to allow the underwriters of the Bonds to comply with the Rule (defined below), the District is required to make certain continuing disclosure undertakings for the benefit of the owners (including beneficial owners) of the Bonds (the “Owners”). This Undertaking is intended to satisfy the requirements of the Rule.

Section 2. Definitions.

(a) “Annual Financial Information” means the financial information (which will be based on financial statements prepared in accordance with generally accepted accounting principles, as in effect from time to time (“GAAP”), for governmental units as prescribed by the Governmental Accounting Standards Board (“GASB”)) and operating data with respect to the District, delivered at least annually pursuant to Sections 3(a) and 3(b) of this Undertaking, consisting of information of the type set forth in the tables 1 through 14 and Appendix A in the Official Statement. The District will update and provide this information no later than March 31 of each year, commencing March 31, 2026, for the fiscal year ending on the preceding June 30.

(b) “Audited Financial Statements” means the District’s annual financial statements prepared in accordance with GAAP, for governmental units as prescribed by GASB, which financial statements have been audited as may then be required or permitted by the laws of the State.

(c) “EMMA” means the Municipal Securities Rulemaking Board’s Electronic Municipal Market Access System located on its website at emma.msrb.org.

(d) “Event” or “Event Information” means the information delivered pursuant to Section 3(d).

(e) “MSRB” means the Municipal Securities Rulemaking Board. The current address of the MSRB is 1300 I Street NW, Suite 1000, Washington DC 20005-3314, phone (202) 838-1500, fax (202) 898-1500.

(f) “Official Statement” means the Official Statement dated July 22, 2025, together with any supplements thereto prior to the date the Bonds are issued, delivered in connection with the original issue and sale of the Bonds.

(g) “Report Date” means March 31 of each year, beginning in 2026.

(h) “Rule” means Rule 15c2-12 promulgated by the SEC under the Securities Exchange Act of 1934, as amended (17 C.F.R. Part 240, § 240.15c2-12), as the same may be amended from time to time.

(i) “SEC” means the United States Securities and Exchange Commission.

(j) “State” means the State of New Mexico.

Section 3. Provision of Annual Financial Information and Reporting of Event Information.

(a) The District, or its designated agent, will provide the Annual Financial Information for the preceding fiscal year to EMMA on or before each Report Date while the Bonds are outstanding.

(b) If Audited Financial Statements are not provided as part of the Annual Financial Information, the District, or its designated agent, will provide unaudited financial statements as part of the Annual Financial information, and will provide Audited Financial Statements when and if available. The District will timely provide to EMMA notice of failure to provide Annual Financial Information or Audited Financial Statements in the event these items are not available by the Report Date.

(c) The District, or its designated agent, may provide Annual Financial Information by specific reference to other documents, including information reports and official statements relating to other debt issues of the District, which have been submitted to EMMA or filed with the SEC; provided, however, that if the document so referenced is a “final official statement” within the meaning of the Rule, such final official statement must also be available from the MSRB.

(d) The District, or its designated agent, will provide, to EMMA, notice of any of the following Events with respect to the Bonds in a timely manner not in excess of ten (10) business days after the occurrence of the Event:

- (i) principal and interest payment delinquencies;
- (ii) non-payment related defaults, if material;
- (iii) unscheduled draws on debt service reserves reflecting financial difficulties;
- (iv) unscheduled draws on credit enhancements reflecting financial difficulties;
- (v) substitution of credit or liquidity providers, or their failure to perform;
- (vi) adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Bonds, or other material events affecting the tax status of the Bonds;
- (vii) modifications to rights of holders of the Bonds, if material;
- (viii) bond calls, if material, and tender offers;
- (ix) defeasances;
- (x) release, substitution or sale of property securing repayment of the Bonds, if material;
- (xi) rating changes;
- (xii) bankruptcy, insolvency, receivership or a similar event with respect to the District, which shall occur as described below;
- (xiii) the consummation of a merger, consolidation, or acquisition involving the District or the sale of all or substantially all of its assets, other than in the ordinary course of business, the entry into of a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material;

(xiv) appointment of a successor or additional trustee, or the change of name of a trustee, if material;

(xv) incurrence of a financial obligation of the District, if material, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a financial obligation of the District, any of which affect security holders, if material; and

(xvi) default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a financial obligation of the District, any of which reflect financial difficulties.

For these purposes, any event described in (xii) in the immediately preceding paragraph is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent, or similar officer for the District in a proceeding under the United States Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the District, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement, or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the District. For the purposes of the above described event notices (xv) and (xvi), the term “financial obligation” means a (i) debt obligation, (ii) derivative instrument entered into in connection with or pledged as security or a source of payment for, an existing or planned debt obligation, or (iii) a guarantee of (i) or (ii); provided, however, that a “financial obligation” shall not include municipal securities as to which a final official statement (as defined in the Rule) has been provided to the MSRB consistent with the Rule.

Section 4. Method of Transmission. The District, or its designated agent, will employ such methods of electronic or physical information transmission as are requested or recommended from time to time by EMMA, the MSRB or the SEC.

Section 5. Enforcement. The obligations of the District under this Undertaking are for the benefit of the Owners. Each Owner is authorized to take action to seek specific performance by court order to compel the District to comply with its obligations under this Undertaking, which action will be the exclusive remedy available to it or any other Owner. The District's breach of its obligations under this Undertaking will not constitute an event of default under the Bond Resolution, and none of the rights and remedies provided by such Bond Resolution will be available to the Owners with respect to such a breach.

Section 6. Term. The District's obligations under this Undertaking will be in effect from and after the issuance and delivery of the Bonds and will extend to the earliest of (i) the date all principal and interest on the Bonds has been paid or legally defeased pursuant to the terms of the Resolution; (ii) the date on which the District is no longer an “obligated person” with respect to the Bonds within the meaning of the Rule; or (iii) the date on which those portions of the Rule which require this Undertaking are determined to be invalid or unenforceable by a court of competent jurisdiction in a non-appealable action, have been repealed retroactively or otherwise do not apply to the Bonds.

Section 7. Amendments. The District may amend this Undertaking from time to time, without the consent of any Owner, upon the District's receipt of an opinion of independent counsel experienced in federal securities laws to the effect that such amendment:

(a) is made in connection with a change in circumstances that arises from a change in legal requirements, a change in law or a change in the identity, nature or status of the District;

(b) this Undertaking, as amended, would have complied with the Rule at the time of the initial issue and sale of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any changes in circumstances; and

(c) the amendment does not materially impair the interests of the Owners.

Any amended operating data or financial information will be explained, in narrative form, the reasons for the amendment and the impact of the change in the type of operating data or financial information being provided. If an amendment changes the accounting principles to be followed in preparing financial statements, the Annual Financial Information, and Audited Financial Statements for the year in which the change is made will present a comparison between the financial statements or information prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles.

Section 8. Additional Information. Nothing in this Undertaking shall be deemed to prevent the District from disseminating any other information, using the means of dissemination set forth in this Undertaking or any other means of communication, or including any other information or notice of occurrence of any event which is not an Event, in addition to that which is required by this Undertaking provided that the District shall not be required to do so. If the District chooses to include any annual information or notice of occurrence of an event in addition to that which is specifically required by this Undertaking to update such information or include it in any future annual filing or notice of occurrence of an Event.

Section 9. Beneficiaries. This Undertaking binds and inures to the sole benefit of the District and the Owners and creates no rights in any other person or entity.

Section 10. Subject to Appropriation. This Undertaking shall be subject to annual appropriation by the District's Board of Education and shall not be construed as a general obligation of the District.

Section 11. Governing Law. This Undertaking is governed by and is to be construed in accordance with the law of the State.

[Signature Page Follows]

Date: August __, 2025

BOARD OF EDUCATION OF THE ALBUQUERQUE
MUNICIPAL SCHOOL DISTRICT NO. 12

By: _____
President

ATTEST:

Secretary

APPENDIX E

BOOK-ENTRY ONLY SYSTEM

Introduction

Unless otherwise noted, the information contained under the caption “General” below has been provided by DTC. The District makes no representations as to the accuracy or the completeness of such information. The Beneficial Owners of the Series 2025B Bonds should confirm the following information with DTC, the Direct Participants or the Indirect Participants.

NEITHER THE DISTRICT NOR THE PAYING AGENT/REGISTRAR WILL HAVE ANY RESPONSIBILITY OR OBLIGATION TO DIRECT PARTICIPANTS, TO INDIRECT PARTICIPANTS, OR TO ANY BENEFICIAL OWNER WITH RESPECT TO (A) THE ACCURACY OF ANY RECORDS MAINTAINED BY DTC, ANY DIRECT PARTICIPANT, OR ANY INDIRECT PARTICIPANT; (B) ANY NOTICE THAT IS PERMITTED OR REQUIRED TO BE GIVEN TO THE OWNERS OF THE SERIES 2025B BONDS UNDER THE BOND RESOLUTION, (C) THE SELECTION BY DTC OR ANY DIRECT PARTICIPANT OR INDIRECT PARTICIPANT OF ANY PERSON TO RECEIVE PAYMENT IN THE EVENT OF A PARTIAL REDEMPTION OF THE SERIES 2025B BONDS; (D) THE PAYMENT BY DTC OR ANY DIRECT PARTICIPANT OR INDIRECT PARTICIPANT OF ANY AMOUNT WITH RESPECT TO THE PRINCIPAL OR INTEREST DUE WITH RESPECT TO THE OWNER OF THE SERIES 2025B BONDS; (E) ANY CONSENT GIVEN OR OTHER ACTION TAKEN BY DTC AS THE OWNERS OF SERIES 2025B BONDS; OR (F) ANY OTHER MATTER REGARDING DTC.

General

The Depository Trust Company, New York, New York (“DTC”), will act as securities depository for the Series 2025B Bonds. The Series 2025B Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC’s partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Series 2025 Bond certificate will be issued for the Series 2025B Bonds, in the aggregate principal amount of such issue, and will be deposited with DTC.

DTC, the world’s largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a “banking organization” within the meaning of the New York Banking Law, a member of the Federal Reserve System, a “clearing corporation” within the meaning of the New York Uniform Commercial Code, and a “clearing agency” registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.8 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC’s participants (“Direct Participants”) deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants’ accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation (“DTCC”). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly (“Indirect Participants”). DTC has Standard & Poor’s rating of AA+. The DTC Rules

applicable to Direct Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com and www.dtc.org. The District undertakes no responsibility for and makes no representations as to the accuracy or the completeness of the content of such material contained on that website as described in the preceding sentence including, but not limited to, updates of such information or links to other Internet sites accessed through the aforementioned website.

Purchases of the Series 2025B Bonds under the DTC system must be made by or through Direct or Indirect Participants, which will receive a credit for the Series 2025B Bonds on DTC's records. The ownership interest of each actual purchaser of each Series 2025 Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Series 2025B Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in the Series 2025B Bonds, except in the event that use of the book-entry system for the Series 2025B Bonds is discontinued.

To facilitate subsequent transfers, all Series 2025B Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co. or such other name as may be requested by an authorized representative of DTC. The deposit of Series 2025B Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not affect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Series 2025B Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Series 2025B Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time.

While the Series 2025B Bonds are in the book-entry only system, redemption notices will be sent to DTC. If less than all of the Series 2025B Bonds are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to the Series 2025B Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the District as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Series 2025B Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds, distributions, and dividend payments on the Series 2025B Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts, upon DTC's receipt of funds and corresponding detail information from the District or agent on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, agent, or the District, subject to any statutory or regulatory requirements as may be in effect from time to time.

time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the District or agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the Series 2025B Bonds at any time by giving reasonable notice to the District. Under such circumstances, in the event that a successor depository is not obtained, certificates representing the Series 2025B Bonds are required to be printed and delivered.

The District may decide to discontinue use of the system of book-entry transfers through DTC (or a successor securities depository). In that event, certificates representing the Series 2025B Bonds will be printed and delivered to DTC.

The information in this Appendix concerning DTC and DTC's book-entry system has been obtained from sources that the District believes to be reliable, but the District does not take any responsibility for the accuracy thereof.